

JAIBB

Hand Notes

On

Laws and Practice of General Banking
(LPGB)

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Module A: Financial Institutions Related Laws

1. Bangladesh Bank Order, 1972

1. Describe the status of Bangladesh Bank Order, 1972 as law.

Status of Bangladesh Bank Order, 1972 as Law

The **Bangladesh Bank Order, 1972 (P.O. No. 127 of 1972)** was enacted on **7 April 1972** after the independence of Bangladesh. This order reorganized the Dhaka branch of the **State Bank of Pakistan** as **Bangladesh Bank**, the central bank and regulatory authority for the country's monetary and financial system.

- It consists of **six chapters and eighty-four sections**.
- The **main objective** is to manage the monetary and credit system to stabilize the domestic currency and promote economic growth.
- It defines the **functions and powers** of Bangladesh Bank, such as formulating monetary policy, managing foreign reserves, and supervising financial institutions.
- The **Board of Directors** and their roles are described under **Article 9**, and the **Coordination Council** ensures consistency in fiscal and monetary policies.
- Bangladesh Bank holds the **sole authority to issue currency notes** and manage government accounts.
- It operates as a **body corporate** with perpetual succession and is responsible for ensuring monetary stability in the country.

The Bangladesh Bank Order, 1972, serves as the **legal foundation** for the operation and authority of the central bank of Bangladesh.

2. What are the main functions of Bangladesh Bank as per the Bangladesh Bank Order, 1972?

Main Functions of Bangladesh Bank as per Bangladesh Bank Order, 1972

1. **Monetary Policy Formulation:** Implementing policies to control inflation, interest rates, and money supply.
2. **Issuance of Currency:** Sole authority to issue currency notes and manage the monetary system.

3. **Regulation of Banks and Financial Institutions:** Supervising and controlling the activities of commercial banks and other financial institutions.
4. **Foreign Exchange Management:** Managing foreign exchange reserves and regulating foreign currency transactions.
5. **Government Banker and Debt Manager:** Acting as the banker to the government and managing public debt.

3. What is the structure of the Bangladesh Bank according to the Bangladesh Bank Order, 1972?

Structure of Bangladesh Bank as per Bangladesh Bank Order, 1972

1. **Board of Directors:** Consists of the Governor, Deputy Governors, and other appointed members responsible for policy-making and supervision.
2. **Governor:** Acts as the Chief Executive Officer (CEO) and represents Bangladesh Bank in all affairs.
3. **Deputy Governors:** Assist the Governor in implementing policies and managing day-to-day operations.
4. **Executive and General Managers:** Handle various departments like monetary policy, foreign exchange, and financial stability.
5. **Coordination Council:** Ensures coordination between monetary policy and fiscal policy with the government.

4. How does Bangladesh Bank regulate and supervise the banking system under the Bangladesh Bank Order, 1972?

Regulation and Supervision of Banking System by Bangladesh Bank

1. **Issuance of Guidelines and Policies:** Bangladesh Bank sets monetary policies, prudential guidelines, and compliance standards for financial institutions.
2. **Licensing and Authorization:** It grants licenses to banks and financial institutions to operate within the country.
3. **Monitoring and Inspection:** Conducts regular audits and on-site inspections to ensure compliance with banking laws and regulations.

4. **Risk Management and Capital Adequacy:** Ensures that banks maintain sufficient capital and manage risks effectively.
5. **Disciplinary Actions and Penalties:** Imposes fines, restrictions, or revokes licenses for non-compliance or violations of banking regulations.

5. Central Bank is the lender of last resort-Explain.

Central Bank as the Lender of Last Resort

1. **Financial Stability:** The central bank provides emergency funding to financial institutions facing liquidity crises to maintain stability in the financial system.
2. **Prevent Bank Failures:** It offers short-term loans to solvent but illiquid banks to prevent them from collapsing.
3. **Protect Depositors:** By supporting distressed banks, the central bank helps protect depositors and maintain confidence in the banking system.
4. **Ensure Smooth Payment System:** It ensures that the payment systems continue functioning smoothly, even in times of financial stress.
5. **Regulated Borrowing:** The central bank's assistance is provided under strict terms to avoid moral hazard and ensure that banks address their underlying issues.

6. Central Bank has been given the exclusive right to issue notes. Do you think it is justified?

Central Bank's Exclusive Right to Issue Notes: Justification

1. **Monetary Control:** Central Bank issues notes to maintain control over the money supply, ensuring economic stability and preventing inflation.
2. **Legal Tender:** It ensures uniformity and legal acceptance of currency across the country, preventing confusion with other forms of money.
3. **Economic Stability:** Central Bank can regulate currency issuance to manage interest rates, inflation, and overall economic health.
4. **Public Trust:** A single authority reduces the risk of counterfeit currency and maintains public confidence in the national currency.
5. **Government Support:** It ensures smooth functioning of government transactions, as the central bank manages both fiscal and monetary policies.

7. Discuss the role of Bangladesh Bank as the supervisor of the banking system in Bangladesh.

Bangladesh Bank as the Supervisor of the Banking System in Bangladesh

1. **Regulation of Banks:** Bangladesh Bank formulates regulations for banks to ensure their proper functioning and compliance with financial standards.
2. **Licensing Banks:** It issues licenses to banks and financial institutions, ensuring only qualified entities operate in the financial system.
3. **Monitoring Financial Health:** Bangladesh Bank regularly inspects banks' financial positions, ensuring their solvency and stability.
4. **Ensuring Compliance:** It ensures that banks comply with laws and regulations, including maintaining required capital and reserves.
5. **Addressing Financial Issues:** In case of financial instability in banks, Bangladesh Bank takes corrective measures to maintain the overall health of the banking system.

2. Banking Companies Act, 1991

8. In which situations the office of a director falls vacant according to Banking Companies Act, 1991?

Office of a Director Falling Vacant Under Banking Companies Act, 1991

According to the Banking Companies Act, 1991, the office of a director becomes vacant in the following situations:

1. **Resignation:** A director resigns from their position in writing.
2. **Removal:** A director is removed by the shareholders in a general meeting.
3. **Bankruptcy:** If the director is declared bankrupt or insolvent.
4. **Mental Incapacity:** In case the director is declared mentally unfit by a court.
5. **Disqualification:** If the director is disqualified under any provision of the Banking Companies Act or other applicable laws.

These are the circumstances in which the office of a director is considered vacant under the Banking Companies Act, 1991.

9. State the general limitations of credit limit as mentioned in Banking Companies Act, 1991.

General Limitations of Credit Limit as per the Banking Companies Act, 1991:

1. **Single Borrower Limit:** A bank cannot lend more than 25% of its total capital to a single borrower.
2. **Group Borrower Limit:** The total exposure to a group of borrowers should not exceed 50% of the bank's total capital.
3. **Exposure to Directors:** Banks are restricted from lending large amounts to their directors or the companies in which they have a significant interest.
4. **Sectoral Limits:** Banks are required to maintain sectoral credit limits to avoid excessive concentration in any particular sector.
5. **Maximum Loan to Value Ratio:** The credit limit cannot exceed a certain percentage of the market value of collateral or security.

10. What are the restrictions on loans and advances stated in Banking Companies Act, 1991?

Restrictions on Loans and Advances as per the Banking Companies Act, 1991:

1. **Single Borrower Limit:** A bank cannot lend more than 25% of its total capital to a single borrower.
2. **Group Borrower Limit:** Total loans to a group of borrowers cannot exceed 50% of the bank's total capital.
3. **Directors' Loans:** Banks cannot provide loans to their directors or their related companies beyond the prescribed limits.
4. **Security Requirements:** Loans must be secured by tangible assets to ensure repayment.
5. **Sectoral Limits:** Banks are required to follow sector-specific lending limits to avoid concentration risk in any particular sector.

11. How does a commercial bank differ from a non-bank financial institution?

Difference between Commercial Bank and Non-Bank Financial Institutions:

Aspect	Commercial Bank	Non-Bank Financial Institution (NBFI)
Core Functions	Accepts deposits, provides loans, offers banking services	Provides loans, investments, and asset management
Regulation	Regulated by central banks (e.g., Bangladesh Bank)	Regulated by specialized bodies (e.g., BSEC)
Deposit-taking	Authorized to take deposits from the public	Cannot accept deposits from the public
Purpose	Facilitates transactions, provides financial products	Focuses on investment activities and wealth management
Credit Creation	Can create credit by lending deposits	Cannot create credit as it does not accept deposits

12. Describe the bank's responsibility to the customer and the customer's responsibility to the bank.

Bank's Responsibility to the Customer:

1. **Confidentiality:** The bank must maintain the confidentiality of customer information.
2. **Honoring Transactions:** The bank is responsible for executing transactions as per the customer's instructions.
3. **Providing Services:** The bank must offer agreed-upon services such as loans, deposits, and withdrawals.
4. **Safety of Deposits:** Ensuring the security of the customer's deposits and funds.
5. **Providing Accurate Information:** The bank must provide customers with accurate account statements and necessary details.

Customer's Responsibility to the Bank:

1. **Honoring Agreements:** The customer must repay loans and adhere to terms of agreements.

2. **Providing Accurate Information:** The customer should provide correct information and notify the bank of any changes.
3. **Maintaining Account Balance:** The customer must ensure that sufficient funds are available for transactions.
4. **Compliance with Bank Rules:** The customer is responsible for following the bank's terms and conditions.
5. **Avoiding Fraudulent Activities:** The customer must avoid engaging in any illegal or fraudulent transactions.

13. Briefly discuss the functions of commercial banks regarding the following activities:

Here are 5 main activities of commercial banks:

1. **Accepting Deposits:** Commercial banks accept deposits from customers, including savings accounts, current accounts, and fixed deposits, providing a safe place for customers' funds.
2. **Providing Loans and Advances:** Banks offer loans to individuals, businesses, and other entities, helping them meet financial needs such as buying a home, starting a business, or expanding operations.
3. **Facilitating Payments and Money Transfers:** Banks provide payment services, including cheque clearing, electronic fund transfers, and money remittances, helping individuals and businesses transfer money locally and internationally.
4. **Issuing Credit and Debit Cards:** Commercial banks issue credit and debit cards, enabling customers to make purchases, access ATMs, and manage their finances conveniently.
5. **Foreign Exchange Services:** Banks engage in foreign exchange transactions, assisting customers in converting currency, making international payments, and managing risks associated with foreign exchange fluctuations.

These activities are essential for the functioning of commercial banks and contribute to the overall economic stability.

14. Define digital banking and the differences between digital and conventional banks.

Definition of Digital Banking:

Digital banking refers to the automation of traditional banking services through electronic channels, allowing customers to perform banking activities like fund transfers, bill payments, and account management via online platforms or mobile apps without visiting a physical branch.

Differences between Digital and Conventional Banks:

Digital Bank	Conventional Bank
Operates fully online without physical branches.	Operates through physical branches and face-to-face interactions.
Provides 24/7 access to banking services.	Limited to banking hours.
Lower operational costs due to minimal infrastructure.	Higher operational costs due to physical infrastructure.
Fast and convenient transactions through apps and websites.	Manual and time-consuming processes.
Relies heavily on advanced technology and cybersecurity.	Relies more on paperwork and manual verification.

15. What are the key regulatory and supervisory powers of Bangladesh Bank under the Banking Companies Act, 1991?

Key Regulatory and Supervisory Powers of Bangladesh Bank under the Banking Companies Act, 1991:

- **Licensing and Regulation:** Authority to issue and revoke licenses for banking operations.
- **Prudential Supervision:** Setting capital adequacy requirements and liquidity ratios.
- **Inspection and Audit:** Conducting regular inspections and audits of banks' financial activities.
- **Control Over Management:** Power to remove directors or management for misconduct.
- **Imposing Penalties:** Authority to impose fines and take disciplinary actions for regulatory violations.

16. How does the Banking Companies Act, 1991 ensure capital adequacy and liquidity for banks operating in Bangladesh?

Capital Adequacy and Liquidity Measures under Banking Companies Act, 1991:

- **Minimum Capital Requirement:** Mandates banks to maintain a minimum capital base.
- **Capital to Risk-Weighted Asset Ratio (CRAR):** Enforces maintaining a specific capital adequacy ratio.
- **Liquidity Reserve Requirement:** Requires banks to keep a certain percentage of liquid assets.
- **Monitoring and Reporting:** Regular submission of financial statements for supervision.
- **Regulatory Actions:** Imposes penalties or restrictions for non-compliance.

17. What are the limitations on loans and advances under the Banking Companies Act, 1991?

Limitations on Loans and Advances under the Banking Companies Act, 1991

The Banking Companies Act, 1991 of Bangladesh imposes certain limitations on loans and advances to ensure financial stability and reduce credit risk. These include:

1. **Single Borrower Exposure Limit:** A bank cannot provide loans exceeding 15% of its total capital to a single borrower or entity.
2. **Large Loan Limit:** Loans classified as large loans must not exceed 56.25% of a bank's total capital.
3. **Related Party Restrictions:** Banks are restricted from lending to directors or related parties to prevent conflicts of interest.
4. **Secured Loan Requirements:** Banks must maintain proper collateral and security while providing loans.
5. **Sector-wise Exposure Limit:** Bangladesh Bank sets limits on sector-wise loan distribution to avoid over-concentration in a particular industry.

These limitations help maintain financial discipline and protect depositors' interests.

18. What regulatory measures should be taken by central bank, to improve governance in the banking sector? Give your view.

Regulatory Measures to Improve Governance in the Banking Sector

To enhance governance in the banking sector, the central bank can adopt the following measures:

1. **Strengthening Regulatory Framework:** Implement strict guidelines on risk management, internal controls, and compliance monitoring.
2. **Enhanced Supervision and Monitoring:** Conduct regular audits and inspections to ensure transparency and accountability.
3. **Corporate Governance Standards:** Enforce board independence, conflict of interest policies, and ethical standards.
4. **Limiting Insider Lending:** Impose strict limits on related-party transactions to prevent misuse of funds.
5. **Capacity Building and Training:** Provide continuous training for bank officials on governance practices and regulatory compliance.

These measures will help maintain financial stability and protect the interests of depositors.

19. What regulatory measures should be taken to reduce default loans in the banking sector? Give your view.

To reduce default loans in the banking sector, the following regulatory measures can be considered:

1. **Strict Loan Evaluation:** Central banks should enforce stringent loan assessment criteria, ensuring thorough creditworthiness checks before approving loans.
2. **Risk-Based Pricing:** Implementing risk-based interest rates to ensure that borrowers with higher risks pay higher rates, encouraging responsible borrowing.
3. **Regular Monitoring of Loan Performance:** Central banks should mandate regular monitoring and reporting of loan performance to identify potential defaults early.
4. **Enhanced Loan Recovery Mechanisms:** Strengthening legal frameworks for loan recovery and ensuring swift action in cases of default can deter borrowers from defaulting.

5. **Financial Literacy Programs:** Promoting financial education among borrowers can help them manage loans more effectively, reducing the likelihood of defaults.

These measures can help maintain stability and reduce non-performing loans in the banking sector.

20. Section 77 Ka of the Bank Company (Amendment) Act, 2023 has entrusted Bangladesh Bank with legal power to take early action ie. PCA (Prompt Corrective Action) for the proper management of weak bank company and some resolution measures like merger, reconstructions, etc. Do you consider this amendment and measures to be taken by Bangladesh Bank would contribute to bringing more discipline and good governance in the banking sector?

Yes, the amendment to Section 77 Ka of the Bank Company (Amendment) Act, 2023 can significantly contribute to better discipline and good governance in the banking sector. By granting Bangladesh Bank the authority to take early corrective actions (PCA) and implement resolution measures like mergers and reconstructions, it ensures that weak banks are managed before they collapse. This proactive approach helps to:

1. Prevent further deterioration of financially weak banks.
2. Ensure that corrective actions are taken in a timely manner.
3. Promote financial stability by preventing systemic risks.
4. Encourage accountability among banks to adhere to governance standards.
5. Strengthen public confidence in the banking sector.

These measures will likely improve discipline and governance in the sector.

21. Define willful defaulter under the amended ****Bank Company Act, 1991****.

A willful defaulter, under the amended **Bank Company Act, 1991**, is defined as a borrower who deliberately defaults on loan repayment despite having the ability to repay. This includes situations where the borrower:

1. Uses the loan for purposes other than intended.
2. Has the financial capacity but refuses to repay or avoids repayment.
3. Fails to comply with repayment terms intentionally.

The amendment allows banks to classify such individuals or entities as willful defaulters, and they may face legal action, including restrictions on further borrowing.

3. Financial Institutions Act, 1993

22. What are the limitations of NBFIs for collecting deposits? What provisions are adopted in Finance Company Act, 2023 to attract the foreign investment in financial institutions operating in Bangladesh?

Limitations of NBFIs for Collecting Deposits:

- ✓ NBFIs (Non-Banking Financial Institutions) are restricted from accepting demand deposits and savings deposits like commercial banks.
- ✓ They are limited to collecting term deposits with specific tenure and conditions.
- ✓ NBFIs face more stringent regulatory oversight on deposit collection, limiting their deposit-taking activities.

Provisions in the Finance Company Act, 2023:

- ✓ The Act allows foreign investors to hold a higher percentage of equity in NBFIs, encouraging foreign participation.
- ✓ It introduces simplified procedures for foreign investment, making it easier for international financial institutions to enter the Bangladesh market.
- ✓ The Act also includes provisions for ensuring investor protection and transparency, fostering a more favorable investment climate.

4. Artha Rin Adalat, 2003

23. Discuss the main provisions of Artha Rin Adalat Ain, 2003 with its latest amendments.

Artha Rin Adalat Ain, 2003: Key Provisions and Latest Amendments

The **Artha Rin Adalat Ain, 2003** (Money Loan Court Act, 2003) provides a framework for resolving disputes related to money loans in Bangladesh. Its key provisions include:

1. **Establishment of Money Loan Courts:** The Act establishes specialized courts to resolve disputes between financial institutions and borrowers.
2. **Jurisdiction and Procedure:** The Act outlines the jurisdiction of these courts and the procedures for filing cases, emphasizing speedy settlement.
3. **Recovery of Loans:** It allows banks and financial institutions to file lawsuits for recovering unpaid loans, facilitating the quick collection of dues.

4. **Defaulters and Liability:** It defines the responsibilities of borrowers and sets penalties for defaulters, including the sale of assets to recover debts.
5. **Amendments:** Recent amendments, including the **Artha Rin Adalat Ain (Amendment) Act, 2020**, aim to streamline loan recovery procedures, expand the definition of defaulters, and simplify asset seizure processes.

These provisions ensure more efficient loan recovery while maintaining the rights of borrowers.

24. How does Artha Rin Adalat help recovery of stuck-up loans?

Artha Rin Adalat and Loan Recovery

Artha Rin Adalat plays a crucial role in the recovery of stuck-up loans in Bangladesh. Here's how it helps:

1. **Specialized Court System:** The establishment of dedicated Artha Rin Adalat (Loan Recovery Court) ensures that disputes related to loans are handled efficiently and promptly, specifically focusing on financial institutions and borrowers.
2. **Legal Enforcement:** The court has the authority to enforce loan repayment through legal measures, including the seizure and sale of collateral or mortgaged property.
3. **Expedited Process:** By providing a specialized legal framework, the court streamlines the process, ensuring quicker resolution of cases and recovery of funds compared to regular civil courts.
4. **Debt Recovery Procedures:** The law facilitates financial institutions to file suits for the recovery of defaulted loans, enabling a structured approach to handle non-performing loans.
5. **Asset Seizure:** The court can order the seizure and sale of the borrower's assets, allowing banks and financial institutions to recover the defaulted loans by liquidating the collateral.

This framework helps financial institutions recover funds that might otherwise be stuck in prolonged legal battles.

25. Mr. 'X' owes Tk. 4.00 crore to ABC Bank PLC, which has been marked as defaulted loan. The collateral security amounting to Tk. 3.50 crore had been mortgaged with the said loan. What will be the procedure the bank will adopt to recover the loan according to Artha Rin Adalat Ain, 2003?

Procedure for Recovering Loan According to Artha Rin Adalat Ain, 2003

1. **Filing a Suit in the Court:** ABC Bank PLC will file a suit in the Artha Rin Adalat (Economic Loan Court) to recover the defaulted loan of Tk. 4.00 crore, mentioning the outstanding principal and interest.
2. **Summoning the Borrower:** The court will summon Mr. 'X' to appear and respond to the claim made by the bank.
3. **Attachment of Collateral Security:** Since the loan is secured with collateral of Tk. 3.50 crore, the court may order the attachment of the mortgaged property to recover the loan.
4. **Auction of Collateral:** If Mr. 'X' fails to repay, the court can direct the sale of the mortgaged property (collateral) through an auction to recover the outstanding loan amount.
5. **Recovery from Borrower:** If the collateral sale does not fully cover the loan, the court can pass orders to recover the remaining amount from Mr. 'X' through other legal means, including garnishment of income or assets.

This process ensures that the bank can recover the loan amount in a structured legal manner under the Artha Rin Adalat Ain, 2003.

26. Discuss the main provisions of laws relating to the Artha Rin Adalat Act, 2003.

Main Provisions of Artha Rin Adalat Act, 2003:

1. **Establishment of Artha Rin Adalat (Financial Loan Court):** The Act establishes specialized courts, known as Artha Rin Adalats, to handle financial loan disputes between borrowers and financial institutions.
2. **Jurisdiction and Procedure:** These courts have jurisdiction over loan recovery cases and follow a simplified legal procedure to speed up the settlement of financial disputes.
3. **Recovery of Defaulted Loans:** Banks and financial institutions can file suits in the Artha Rin Adalat for the recovery of defaulted loans, with the court having the authority to issue orders for the seizure of collateral.
4. **Execution of Court Orders:** The Act empowers the court to take immediate action, including auctioning the mortgaged property or other assets, to recover the loan amount.

5. **Time-bound Settlement:** The law mandates that disputes should be resolved within a specific time frame, ensuring faster recovery of loans compared to regular courts.

This Act helps streamline the process of loan recovery and ensures prompt action for financial institutions in case of default.

27. Discuss the salient features of the Bankruptcy Act, 1997.

Salient Features of the Bankruptcy Act, 1997:

1. **Filing for Bankruptcy:** The Act allows individuals and businesses to file for bankruptcy when they are unable to pay their debts, providing a legal framework for resolving financial distress.
2. **Appointment of Trustee:** A trustee is appointed to manage the bankruptcy proceedings, which includes assessing the debtor's assets, liabilities, and ensuring fair distribution among creditors.
3. **Debt Relief:** The Act provides a process for debtors to be relieved from their debts through liquidation of assets or repayment plans, ensuring creditors receive a portion of the owed amount.
4. **Creditor's Rights:** It establishes the rights of creditors, ensuring they are given priority in the recovery process according to the classification of their claims.
5. **Discharge of Debts:** After the bankruptcy process, the debtor may be discharged from most or all of their debts, providing a fresh start while ensuring fair treatment for creditors.

This law aims to create a structured process for dealing with insolvent individuals and companies, balancing the rights of debtors and creditors.

28. Do you think the existing laws relating to Artho Rin Adalat and Bankruptcy law are adequate to deal with delinquent borrowers? Please discuss.

The existing laws relating to **Artho Rin Adalat** and **Bankruptcy Law** provide a framework to address delinquent borrowers, but there are certain limitations:

1. **Artho Rin Adalat Act, 2003** helps banks recover loans through legal proceedings, but the process can be time-consuming, leading to delays in recovery.

2. **Bankruptcy Act, 1997** allows for the resolution of debts and provides relief to borrowers, but it may not always offer effective mechanisms for businesses to restructure or rehabilitate.
3. **Limited Enforcement:** While the laws give the courts the authority to enforce recovery, enforcement can be slow due to procedural delays and inefficiencies in the judicial system.
4. **Asset Liquidation Issues:** In both acts, liquidation of assets may not always fetch enough value to recover the loan amount, especially if the market conditions are unfavorable.
5. **Rehabilitation of Borrowers:** The current laws are more focused on recovery rather than offering rehabilitation options, which might have helped struggling borrowers to recover instead of just liquidating assets.

Thus, while these laws provide a framework, they may need reforms to make them more efficient and borrower-friendly in dealing with delinquent borrowers.

29. What is the role of the Artho Rin Adalat (Economic Court) in solving problems related to unpaid loans?

The role of the **Artho Rin Adalat (Economic Court)** in solving problems related to unpaid loans is crucial in ensuring the recovery of defaulted loans and maintaining financial stability. The main functions are:

1. **Legal Proceedings:** The court initiates legal action against defaulted borrowers to recover unpaid loans, providing a formal process for banks and financial institutions.
2. **Enforcement of Security:** It helps enforce collateral security, allowing banks to seize mortgaged assets if the borrower defaults.
3. **Debt Settlement:** The court can help in the settlement of loans through negotiation or restructuring if both parties agree, ensuring fair recovery.
4. **Accelerated Recovery Process:** The court facilitates faster recovery of loans by prioritizing financial disputes and providing legal mechanisms to settle claims swiftly.
5. **Imposing Penalties:** If necessary, the court can impose penalties or judgments against the borrower, encouraging timely repayment and reducing loan defaults.

Thus, the Economic Court plays an essential role in resolving financial disputes and facilitating the recovery of unpaid loans in Bangladesh.

30. What steps are followed to file and settle loan recovery cases in the Artho Rin Adalat Ain,

To file and settle loan recovery cases under the Artho Rin Adalat Ain, 2003, the following steps are typically followed:

1. **Filing of Application:** The bank or financial institution files an application with the Artho Rin Adalat (Economic Court) seeking recovery of the defaulted loan.
2. **Issuance of Notice:** After the application is filed, the court issues a notice to the borrower (defendant) to appear before the court and respond to the claim.
3. **Examination of Evidence:** The court examines the evidence presented by both the lender and borrower, including loan documents and collateral details.
4. **Court Hearing:** Based on the evidence, the court conducts hearings to assess the merits of the case and make a decision regarding the loan recovery.
5. **Settlement or Judgment:** If the case is not settled out of court, the judge passes a final judgment for the loan recovery, which may include the sale of the mortgaged property to recover the dues.

These steps ensure that the recovery process is transparent and legally binding.

31. How does the Artho Rin Adalat Ain, 2003 help recover loans by taking control of and selling mortgaged property?

The **Artho Rin Adalat Ain, 2003** helps recover loans by enabling banks and financial institutions to take control of and sell mortgaged property in the following way:

1. **Issuance of Recovery Notice:** When a borrower defaults on the loan, the bank can file a case in the Economic Court (Artho Rin Adalat), and the court issues a recovery notice to the borrower.
2. **Court Order for Possession:** If the borrower fails to repay the loan, the court may order the bank to take possession of the mortgaged property as part of the loan recovery process.
3. **Sale of Property:** The court grants permission for the mortgaged property to be sold through a public auction to recover the outstanding loan amount.
4. **Distribution of Proceeds:** The proceeds from the sale of the property are used to pay off the outstanding loan. If there is any surplus, it is returned to the borrower.

Module B: Financial Instrument Related Laws

1. Define cheque. Discuss the main features of a cheque.

Definition of Cheque:

A cheque is a negotiable instrument instructing a bank to pay a specific amount of money from the drawer's account to the payee or bearer. It is governed by the Negotiable Instruments Act, 1881.

Main Features of a Cheque:

1. **Written Document:** It must be in writing and signed by the drawer.
2. **Unconditional Order:** The payment order must be unconditional.
3. **Drawn on a Bank:** It is drawn on a specific bank where the drawer maintains an account.
4. **Specified Amount:** The amount to be paid must be clearly mentioned.
5. **Payable on Demand:** It is payable on demand and cannot be post-dated for future payment.

2. What is an MICR cheque?

MICR Cheque:

MICR (Magnetic Ink Character Recognition) cheque is a type of cheque that contains a unique code printed at the bottom using magnetic ink. This technology helps in the fast and secure processing of cheques by banks.

Key Features of MICR Cheque:

1. **Magnetic Ink Code:** The MICR code is printed with special magnetic ink that can be read by machines for quick processing.
2. **Unique Identification:** It contains information like the cheque number, bank code, and branch code.
3. **High Security:** MICR technology prevents cheque fraud and ensures authenticity.
4. **Speedy Clearance:** It allows faster cheque clearing through electronic systems.
5. **Standard Format:** The MICR code is printed at the bottom of the cheque for easy machine reading.

MICR cheques are used for secure and efficient banking transactions.

3. When can a banker legally return a valid cheque without payment?

A banker can legally return a valid cheque without payment under the following circumstances:

1. **Insufficient Funds:** If the account holder's balance is insufficient to cover the cheque amount.
2. **Post-Dated Cheque:** If the cheque is presented before its stated date.
3. **Stale Cheque:** If the cheque is presented after six months from the date it was issued.
4. **Signature Mismatch:** If the signature on the cheque does not match the one on file with the bank.

4. What is the meaning of "Crossing a cheque"? What does this crossing signify? Who can cancel the crossing?

Meaning of "Crossing a Cheque":

Crossing a cheque means drawing two parallel lines across the face of the cheque, either vertically or horizontally, which signifies that the cheque can only be deposited into a bank account and cannot be encashed over the counter.

Significance of Crossing:

The crossing is a safety measure to ensure that the cheque can only be paid through a bank account, preventing it from being cashed by unauthorized individuals. It enhances the security of the cheque by restricting its encashment.

Who Can Cancel the Crossing:

The crossing of a cheque can only be cancelled by the drawer (the person who issued the cheque) or their authorized agent. If the cheque has already been crossed, the drawer can ask the bank to cancel or change the crossing.

5. A cheque bears a cross across its face an addition of the word "and Companies", again a cheque crossed generally bears across its face an addition of the words "account payee". What is the difference between these two cheques according to NI Act, 1881?

Difference between the two types of crossed cheques according to the Negotiable Instruments Act, 1881:

1. **"And Companies" Crossing:**

- ✓ This type of crossing is used to specify that the cheque is meant to be deposited into the account of a particular company or group of companies. It restricts the cheque from being cashed directly by a person at the counter.
- ✓ The words "and Companies" serve to indicate that the cheque is specifically for a corporate or business entity.

2. "Account Payee" Crossing:

- ✓ The addition of the words "account payee" indicates a more specific restriction. It means the cheque can only be deposited into the account of the person or entity whose name is written on the cheque.
- ✓ This prevents the cheque from being transferred to others or cashed by someone else, ensuring that the payment is made directly to the payee's bank account.

Difference under the NI Act, 1881:

- **"And Companies" Crossing** is more general and can apply to a company or group of companies, while **"Account Payee" Crossing** is a more specific restriction that ensures payment goes only to the account of the payee.
- The latter is legally more restrictive as it prevents the cheque from being transferred or negotiated to a third party.

6. Can a bank issue demand draft payable to a bearer? A demand draft issued by you on one of your branches is lost before it reaches to the recipient. As a banker what steps will you follow when the purchaser of the draft demands his money back?

Can a bank issue demand draft payable to a bearer:

No, a bank cannot issue a demand draft payable to a bearer. According to banking regulations, demand drafts are generally payable to a specified payee and are not issued to bearers. This is to ensure the security and traceability of the transaction.

Steps to be followed when a demand draft is lost before reaching the recipient:

1. **Receipt of the Claim:** The purchaser must report the loss of the demand draft to the bank immediately, providing details like the draft number, date of issue, and amount.
2. **Obtaining a Declaration:** The purchaser will have to sign an indemnity bond or declaration stating that the draft is lost, ensuring that they will bear the liability if the draft is later found and cashed fraudulently.
3. **Freezing the Draft:** The bank should take necessary steps to ensure that the demand draft is not encashed or negotiated by anyone else.

4. **Issuing a Duplicate Draft (if applicable):** Upon fulfilling the indemnity and verifying the loss, the bank may issue a duplicate demand draft or refund the amount to the purchaser after following the bank's procedure.
5. **Charge an Appropriate Fee:** The bank may charge a fee for issuing a duplicate draft or processing the claim.

7. What do you understand by payment in due course? Bring out the difference between "Holder for value" and "Holder in due course".

Payment in Due Course

Payment in due course refers to a payment made in accordance with the terms of a negotiable instrument, such as a cheque or promissory note, within the prescribed time, without any knowledge of any defect or legal objection. It ensures the payment is legally valid, and the payer is protected from future claims.

Difference between "Holder for Value" and "Holder in Due Course"

Aspect	Holder for Value	Holder in Due Course
Definition	A holder who has acquired the instrument for value (i.e., in exchange for goods, services, or money).	A holder who has acquired the instrument in good faith, without knowledge of defects, and for value.
Defects in the Instrument	Can be subject to any defects or claims against the instrument.	Protected against defects and claims (bona fide holder).
Knowledge of Defects	May or may not be aware of defects or claims.	Must not be aware of any defects or claims against the instrument.
Right to Defend	No special protection against prior claims or defects.	Protected from most prior claims and defenses.

8. Define endorsement. Explain types of endorsement. What are the general principles governing endorsement?

Endorsement

Endorsement refers to the act of signing the back of a negotiable instrument, such as a cheque or bill of exchange, by the holder to transfer it to another party. The endorsement signifies the transfer of ownership or rights of the instrument.

Types of Endorsement

1. **Blank Endorsement:** The endorser signs only their name on the back of the instrument, without specifying the endorsee. This makes the instrument payable to the bearer.
2. **Special Endorsement:** The endorser specifies the name of the person to whom the instrument is transferred. For example, "Pay to A, signed B."
3. **Restrictive Endorsement:** The endorser imposes a condition on the instrument, restricting its use, such as "Pay to A only for deposit."
4. **Conditional Endorsement:** The endorsement is made subject to a condition, like "Pay to A upon the receipt of goods."
5. **Partial Endorsement:** The endorsement covers only part of the value of the instrument, transferring a specific portion of the instrument's value to the endorsee.

General Principles Governing Endorsement

1. **Transfer of Title:** The endorsement must transfer the ownership or title of the instrument to the endorsee.
2. **Must be Signed:** The endorser must sign the instrument for it to be valid.
3. **Legal Capacity:** Only a person who has the legal right to transfer the instrument can endorse it.
4. **Unconditional:** Unless specified, endorsements are generally unconditional and do not impose restrictions.

9. What is negotiation? How is it effected and how does it differ from an ordinary assignment?

Negotiation

Negotiation is the process of transferring the ownership of a negotiable instrument (such as a cheque or bill of exchange) from one person to another, which can be done through endorsement or delivery. It gives the transferee the right to claim the payment or value from the instrument.

How is Negotiation Effected:

1. **Endorsement and Delivery:** The holder endorses the instrument (signing it on the back) and delivers it to the transferee.
2. **Bearer Instruments:** If the instrument is a bearer instrument, simple delivery transfers the ownership.

Difference between Negotiation and Ordinary Assignment:

Criteria	Negotiation	Ordinary Assignment
Transferability	Transfer of the instrument's ownership to another person, with full rights.	Transfer of rights but no transfer of title or ownership.
Title to Instrument	The transferee becomes the legal owner and holder of the instrument.	The transferee does not acquire full ownership, only rights.
Risk of Defects	A holder in due course takes the instrument free from defects.	Assignee inherits any defects or conditions attached.
Method	Through endorsement and delivery.	Generally by a written agreement or contract.

10. What do you mean by a collecting banker?

Collecting Banker:

A **collecting banker** is a bank that receives a cheque or other negotiable instrument for collection on behalf of its customer. The collecting banker acts as an intermediary to present the instrument for payment and transfers the proceeds to the customer's account after successful collection.

11. Discuss the statutory protection granted to the collecting banker under the Negotiable Instrument Act, 1981.

Statutory Protection to the Collecting Banker under the Negotiable Instruments Act, 1881

The Negotiable Instruments Act, 1881 provides statutory protection to a collecting banker when it collects a cheque on behalf of its customer, provided the banker acts in good faith and without negligence.

1. **Protection under Section 131:** A banker is not liable if the cheque is dishonoured, provided the banker has acted in good faith, without negligence, and in accordance with the customer's instructions.
2. **Indemnity for Collecting Banker:** The collecting banker is indemnified for any loss arising from handling a cheque or instrument when it is collected in due course.
3. **Acting in Good Faith:** A collecting banker is protected if they collect the cheque in good faith, even if the drawer's signature is forged, provided they can prove that they acted with due diligence.
4. **Due Course of Collection:** The banker is protected if they follow the necessary due process for collecting the instrument, ensuring it's paid or deposited as per the instrument's terms.
5. **No Liability for Forged Indorsements:** Under certain circumstances, the collecting banker is protected from liability even if the indorsement on the cheque is forged, provided they were unaware of the forgery.

12. A crossed order cheque for Tk. 3000 drawn on 'X' bank is collected by 'P' bank for the latter's customer in whose favour it has been endorsed by the payee. Discuss the position of the payee bank and the collecting bank:

- (i) If the signature of the drawer has been forged.
- (ii) If the endorsement of the payee has been forged.

Position of Payee Bank and Collecting Bank:

1. **If the signature of the drawer has been forged:**
 - ✓ The *payee bank* is not protected under the law as the signature on the cheque is forged, making the cheque invalid.
 - ✓ The *collecting bank* also holds no protection in this case, as they acted on a cheque with a forged drawer's signature. They may be liable to refund the amount to the rightful owner.

2. **If the endorsement of the payee has been forged:**

- ✓ The *payee bank* may face liability since the endorsement is forged. The bank might be held accountable for not verifying the authenticity of the endorsement.
- ✓ The *collecting bank* will not be protected either. As the forged endorsement is invalid, the collecting bank may have to return the funds if the forgery is discovered.

13. What is standing instruction? State the procedure of stop payment instruction.

Standing Instruction:

A standing instruction is an order given by a customer to their bank to carry out a recurring transaction automatically on a specified date or frequency, such as monthly payments for utilities, loan installments, or transfers between accounts.

Stop Payment Instruction: A stop payment instruction is a request from the account holder to the bank to halt the payment of a specific cheque or transaction.

Procedure for Stop Payment Instruction:

1. **Request Submission:** The account holder must submit a written request or use the bank's online services to initiate the stop payment.
2. **Provide Details:** The account holder needs to provide specific details such as the cheque number, amount, and date.
3. **Bank Verification:** The bank verifies the request and checks if the payment has already been processed.
4. **Confirmation:** The bank confirms that the stop payment has been successfully applied.
5. **Charges:** The account holder may be charged a fee for the stop payment service.

14. When can a banker legally return a valid cheque without payment?

A banker can legally return a valid cheque without payment under the following circumstances:

1. **Insufficient Funds:** If the drawer's account does not have enough funds to cover the cheque amount.
2. **Mismatched Signatures:** If the signature on the cheque does not match the one on the bank's records.

3. **Stale Cheque:** If the cheque is presented after the validity period, which is typically six months from the date of issue.
4. **Altered or Forged Cheque:** If the cheque is found to be altered or if there is any suspicion of forgery.

15. What are the measures to be taken if a fake note is detected in a bank branch?

If a fake note is detected in a bank branch, the following measures should be taken:

1. **Isolate the Fake Note:** The suspected counterfeit note should be immediately separated from the legitimate currency to avoid further confusion.
2. **Record the Details:** The bank staff should record all relevant details, including the note's serial number, denomination, and the circumstances under which it was detected.
3. **Notify Authorities:** The matter should be reported to the nearest police station or relevant law enforcement agency for further investigation.
4. **Return the Note to the Reserve Bank:** The fake note should be sent to the Reserve Bank of India or the central authority responsible for counterfeit detection.
5. **Inform the Customer:** If the fake note was received from a customer, inform them that it has been identified as counterfeit and advise them on the next steps.

16. What do you mean by CTR and STR?

CTR (Currency Transaction Report): A Currency Transaction Report (CTR) is a report that banks and financial institutions are required to file with the authorities (e.g., Bangladesh Bank) for any cash transactions exceeding a certain threshold, typically Tk. 10 lakh or more. This report is filed to detect and prevent money laundering and other illegal activities.

STR (Suspicious Transaction Report): A Suspicious Transaction Report (STR) is filed by financial institutions when they detect any transaction that appears suspicious, even if the transaction amount is below the threshold for filing a CTR. STR helps in identifying potential illegal activities, including money laundering or fraud.

Difference:

CTR	STR
Filed for cash transactions exceeding a specified threshold (e.g., Tk. 10 lakh).	Filed when a transaction seems suspicious, regardless of the amount.
Aims to monitor large cash flows.	Aims to detect suspicious or potentially illegal activities.

17. What are the different tools used for identifying suspicious transactions?

Different tools used for identifying suspicious transactions include:

1. **Transaction Monitoring Systems:** Automated systems that analyze transaction patterns in real-time to detect unusual or suspicious activities based on pre-set criteria.
2. **Know Your Customer (KYC) Procedures:** Comprehensive checks on customers' identity, including their financial history, which help detect discrepancies in their transaction behavior.
3. **Anti-Money Laundering (AML) Software:** Special software designed to detect and report suspicious activities related to money laundering by monitoring transactions.
4. **Customer Due Diligence (CDD):** Assessing the risk level of customers and their transactions, focusing on high-risk individuals or entities for potential suspicious activity.
5. **Risk-Based Analysis:** A method that uses risk parameters to flag transactions that may indicate fraud, money laundering, or other illegal activities.

These tools work together to help financial institutions detect, analyze, and report suspicious transactions effectively.

Module C: Financial Activities Related Laws

1. What do you mean by money laundering under Money Laundering Prevention Act, 2012?

Money laundering:

Money laundering under the **Money Laundering Prevention Act, 2012** means hiding or changing the source of money that was gained through illegal means, so it looks like it came from legal sources. This is done to avoid getting caught and to enjoy the money without facing legal problems. The law punishes people who are involved in money laundering activities.

2. Discuss the negative effects of money laundering.

Negative Effects of Money Laundering:

1. **Weakens the Financial System:** Money laundering undermines the integrity of financial institutions, making them vulnerable to fraud and criminal activities.
2. **Increases Crime:** It facilitates criminal activities such as drug trafficking, terrorism, and corruption by providing criminals with a way to hide and move illicit funds.
3. **Damages Economic Growth:** Money laundering distorts economic data and makes it difficult for governments to assess and implement proper financial policies.
4. **Loss of Investor Confidence:** It leads to a loss of trust in financial institutions and markets, reducing foreign investments and economic stability.
5. **Encourages Corruption:** Money laundering provides corrupt individuals with a means to conceal stolen wealth, thus promoting further corruption in both public and private sectors.

3. What measures can be taken to protect against money laundering?

Measures to Protect Against Money Laundering:

1. **Know Your Customer (KYC) Policy:** Banks and financial institutions should thoroughly verify the identity of their customers before providing services, ensuring that they are not involved in illegal activities.
2. **Monitoring Transactions:** Continuous monitoring of transactions helps to detect suspicious or unusual activities, such as large, frequent, or unexplainable transactions.

3. **Training Staff:** Regular training for bank staff and financial institution employees helps them identify signs of money laundering and follow the correct procedures.
4. **Reporting Suspicious Activities:** Institutions should report any suspicious transactions to the relevant authorities like the Financial Intelligence Unit (FIU) as per the regulations.
5. **Implementing Anti-Money Laundering (AML) Programs:** Financial institutions should establish comprehensive AML policies, including controls, audits, and compliance checks to ensure they are not being used for money laundering activities.

4. Who are the authorized dealers in Bangladesh as per Foreign Exchange Regulations Act, 1947?

Authorized Dealers in Bangladesh under the Foreign Exchange Regulations Act, 1947:

As per the **Foreign Exchange Regulations Act, 1947**, **authorized dealers** are institutions that are authorized by the **Bangladesh Bank** to deal in foreign exchange transactions. These dealers include:

1. **Scheduled Banks:** All commercial banks that are scheduled under the Bangladesh Bank regulations are authorized to deal in foreign exchange.
2. **Non-Banking Financial Institutions (NBFIs):** Some non-banking financial institutions may also be authorized, based on their operations and the permission from Bangladesh Bank.
3. **Currency Exchanges:** Certain currency exchanges authorized by the central bank to handle foreign exchange transactions.

These dealers are responsible for ensuring compliance with the country's foreign exchange policies and regulations. They facilitate the exchange of currencies and ensure that all transactions are in line with the guidelines set by the Bangladesh Bank.

5. Money Changers have very limited scope of operation than AD branches of a scheduled bank- Please explain.

Money Changers:

Money Changers have a more limited scope of operation compared to **AD branches of scheduled banks** in Bangladesh. Here's the explanation:

1. **Scope of Services:** Money changers are only authorized to buy and sell foreign currency to the public, but they cannot provide services such as remittance or facilitate international trade transactions. In contrast, AD branches of scheduled banks offer a

wider range of services, including foreign currency accounts, facilitating international payments, and dealing with trade finance.

2. **Regulatory Control:** Money changers are under stricter regulations from the Bangladesh Bank and are only allowed to deal in currency exchange, while AD branches of scheduled banks have a broader scope in foreign exchange transactions under direct supervision from Bangladesh Bank.
3. **Transaction Limits:** Money changers have limits on the amount of foreign currency they can exchange, while AD branches can handle large sums related to international trade, remittances, and investments.
4. **Authorized Activities:** Money changers are limited to retail currency exchange, while AD branches of scheduled banks handle a variety of foreign exchange operations, including corporate and government transactions.

While **Money Changers** focus on smaller-scale, retail foreign currency transactions, **AD branches of scheduled banks** have a broader role in international finance and foreign exchange management.

6. State the scope and main purposes of the Foreign Exchange Regulation Act, 1947.

Scope and Main Purposes of the Foreign Exchange Regulation Act, 1947:

1. **Regulation of Foreign Exchange:** The Act regulates the import, export, and exchange of foreign currencies in Bangladesh, aiming to manage and control foreign exchange transactions.
2. **Control over Foreign Assets:** It governs the control over the foreign assets of residents in Bangladesh and ensures that these assets are not misused or unlawfully transferred abroad.
3. **Licensing of Foreign Exchange Transactions:** The Act authorizes the central bank (Bangladesh Bank) to issue licenses to entities like authorized dealers (ADs) for conducting foreign exchange transactions.
4. **Preventing Money Laundering:** One of the main purposes of the Act is to prevent money laundering and unauthorized financial activities by controlling foreign exchange dealings.
5. **Ensuring Economic Stability:** The Act is designed to maintain economic stability by controlling the flow of foreign exchange, ensuring that currency reserves are managed efficiently and that the country's financial position remains stable.

In short, the Foreign Exchange Regulation Act, 1947 ensures proper control, regulation, and management of foreign exchange in Bangladesh to protect the country's economy.

7. Reasons for sending money through Hundi

Reasons for sending money through Hundi:

1. **Avoidance of Formal Channels:** Hundi allows individuals to bypass formal financial systems, avoiding government regulations, fees, and taxes.
2. **Lack of Access to Banking:** In many regions, people may not have access to banking services, so they rely on Hundi for transferring money.
3. **Faster Transactions:** Hundi transactions are often quicker compared to formal banking methods, making them appealing for urgent transfers.
4. **Privacy:** Hundi offers more privacy as transactions are not subject to the same level of scrutiny and reporting as bank transfers.
5. **Lower Costs:** Hundi may offer lower transfer fees compared to traditional banking or remittance services, making it an attractive option for money transfers.

8. Define the Transfer of Property Act and related issues.

Transfer of Property Act, 1882

The *Transfer of Property Act, 1882* is a legislation in India and Bangladesh that regulates the transfer of property between individuals. It governs the process, conditions, and legal aspects surrounding the transfer of immovable property (such as land, buildings) and movable property (such as goods, money).

Key Aspects:

1. **Types of Property:** It covers both movable and immovable property.
2. **Transfer Conditions:** Property can only be transferred by a living person to another living person.
3. **Modes of Transfer:** Includes sale, gift, lease, mortgage, and exchange.
4. **Transferable Rights:** The transfer must be made legally, without violating existing laws or rights.

5. **Restrictions on Transfer:** Some types of property cannot be transferred, like property meant for religious or charitable purposes.

The Act provides a framework for how property can be transferred, the responsibilities of parties involved, and the rights of individuals in these transactions.

9. Loan defaulters under the amended ****Bank Company Act, 1991****.

Loan Defaulters under the Amended Bank Company Act, 1991

The **Bank Company Act, 1991**, as amended, addresses the issue of loan defaults and sets the legal framework for handling them in Bangladesh. Loan defaulters are individuals or entities who fail to repay their loans as per the agreed terms and conditions.

Key Provisions Regarding Loan Defaulters:

1. **Definition of Loan Default:** A loan is considered in default if the borrower fails to make payment on time or defaults in repayment of both principal and interest, as per the terms of the loan agreement.
2. **Classification of Loans:** The Act classifies loans into categories such as substandard, doubtful, and loss loans based on the duration of default and the financial condition of the borrower.
3. **Action against Defaulters:** Banks are required to take appropriate action to recover the loan, which may include legal proceedings, auctioning of collateral, or other recovery measures.
4. **Impact on Borrower's Creditworthiness:** Loan defaulters are penalized by damaging their credit history and may face restrictions on obtaining further loans from any bank or financial institution.
5. **Provisions for Legal Action:** The amended Act provides legal avenues for banks to file suits or take action under the **Financial Institutions Act**, allowing them to recover loans efficiently.

These measures aim to reduce the number of defaulters and ensure the stability and proper functioning of the banking sector in Bangladesh.

10. What do you mean by Enhanced Due Diligence (EDD) measures in AML system? How do you define Ethical Risk in Banking?

Enhanced Due Diligence (EDD) in AML system:

Enhanced Due Diligence (EDD) refers to the additional measures taken by financial institutions to assess and manage higher-risk customers or transactions. It is a more rigorous process than the standard due diligence (CDD) and is used to uncover potential risks, including money laundering or financing terrorism. EDD is required when customers or transactions present a higher risk, such as:

1. High-risk countries
2. Politically exposed persons (PEPs)
3. Unusual transaction patterns

EDD involves collecting detailed information, verifying the customer's identity, understanding their source of funds, and monitoring their activities more closely.

Ethical Risk in Banking:

Ethical risk in banking refers to the potential for a financial institution to face challenges or consequences due to unethical practices, behavior, or decisions. It can arise from actions that violate moral principles or legal regulations, such as:

1. Fraudulent activities
2. Lack of transparency in operations
3. Conflicts of interest
4. Discriminatory lending practices

Managing ethical risk involves adhering to strong ethical standards, implementing compliance systems, and fostering a culture of integrity within the institution.

11. Explain the stages of Money laundering. What is the threshold limit of CTR?

Stages of Money Laundering:

1. **Placement:** The initial stage where illicit funds are introduced into the financial system. This can be done through methods like depositing large sums of money into banks, purchasing assets, or exchanging currencies.
2. **Layering:** This stage involves disguising the original ownership of the money. It includes complex financial transactions such as transferring funds between different accounts, buying and selling assets, or moving money across borders to create confusion and make tracing difficult.

3. **Integration:** In this final stage, the "cleaned" money is integrated into the economy and appears to be legitimate. This could involve investing in legal businesses, purchasing properties, or other forms of economic activity that blend the illicit money with legitimate earnings.

Threshold Limit of CTR (Currency Transaction Report):

The threshold limit for filing a Currency Transaction Report (CTR) in Bangladesh is **Tk. 10,00,000** (Ten Lakh) or more in a single transaction. This requirement is part of the anti-money laundering regulations to monitor large cash transactions.

12. Define Money Laundering under the Money Laundering Prevention Act, 2012.

Money Laundering:

Under the **Money Laundering Prevention Act, 2012**, **Money Laundering** is defined as the process of concealing or disguising the origin of illegally obtained money or assets. This typically involves three main stages:

1. **Placement** – Moving illicit funds into the financial system.
2. **Layering** – Separating the illicit money from its source through complex transactions.
3. **Integration** – Integrating the "cleaned" money into the economy to make it appear legitimate.

The law aims to prevent financial institutions and individuals from being involved in such practices and penalizes those who engage in money laundering activities.

13. What is Hundi? How does Hundi affect the economy of Bangladesh?

Hundi:

Hundi is an informal and unregulated method of transferring money, typically used for remittances. It involves a network of money brokers who facilitate the transfer of funds without the use of formal banking channels. The sender provides money to the broker in one location, and the recipient can receive the equivalent amount in another location, often abroad.

Impact of Hundi on Bangladesh's Economy:

1. **Loss of Government Revenue:** Since Hundi transactions bypass formal banking channels, the government misses out on taxes and remittance tracking, affecting overall fiscal revenue.
2. **Lack of Regulatory Control:** Hundi operates outside the formal financial system, reducing the ability to monitor and regulate cross-border money flows.

3. **Potential for Money Laundering:** It facilitates illegal transactions and can be used for money laundering, which can destabilize the financial system.
4. **Weakens Formal Banking System:** As people use Hundi for cheaper or quicker transfers, it reduces the growth and credibility of formal banking institutions.
5. **Undermines the Financial System:** Hundi may lead to an increase in informal economies, reducing the role and stability of regulated financial systems like banks.

14. Discuss the responsibilities of the reporting organizations in the prevention of money

Responsibilities of Reporting Organizations in the Prevention of Money Laundering:

1. **Customer Due Diligence (CDD):** Reporting organizations must conduct thorough customer verification during account opening, including the identity check and understanding the nature of the customer's business. This helps to detect suspicious activities and prevent money laundering.
2. **Suspicious Transaction Reporting (STR):** Organizations are required to report any suspicious transactions to the relevant authorities, such as the Bangladesh Financial Intelligence Unit (BFIU), to ensure timely investigation and prevent illegal activities.
3. **Record Keeping:** Reporting organizations must maintain comprehensive records of transactions and customer information for a specified period. This ensures that all transactions can be traced and examined if needed.
4. **Employee Training:** Organizations must provide regular training to employees regarding anti-money laundering (AML) laws and internal procedures. This ensures that staff members are equipped to identify and report suspicious activities effectively.
5. **Implementation of Internal Controls:** Reporting organizations are responsible for establishing and maintaining robust internal policies and controls, which include monitoring transactions, conducting audits, and ensuring compliance with AML regulations.

15. Mr. Karim, a cloth merchant, is maintaining a current account with your branch. At the time of opening the account, he declared that he would transact on an average Tk. 5,00,000 daily from his business. However, it is observed that his transaction is Tk. 20,00,000 to 25,00,000. As a banker, how would you act in this situation and how would you report the matter to the Bangladesh Bank?

As a banker, in this situation, I would take the following actions:

1. **Review the Account Activity:** I would carefully review Mr. Karim's account activity to confirm that the transactions exceed the stated limit. This may involve checking the past transaction history and comparing it with the account opening declaration.
2. **Contact the Customer:** I would reach out to Mr. Karim and inquire about the reason for the discrepancy in the transaction amount. It is important to understand whether this increase is due to legitimate business growth or other factors.
3. **Request Updated Information:** If the increase in transaction volume is legitimate, I would ask Mr. Karim to provide updated information about his business activities and potential changes to the transaction pattern. He may need to submit documents or provide further clarification.
4. **Report to Bangladesh Bank:** As the transactions exceed the declared limit, I would submit a report to Bangladesh Bank in line with the regulations under the Anti-Money Laundering (AML) and Counter Financing of Terrorism (CFT) guidelines. The report should include details of the account, transaction volumes, and the customer's declaration.
5. **Monitor Future Transactions:** I would monitor future transactions to ensure compliance with regulatory requirements and ensure there is no suspicious activity. If the transactions continue to be unusually high, further investigation may be required.

This approach ensures that the bank complies with regulatory standards and maintains proper records, while also safeguarding against potential risks.

16. Discuss account opening for various customer types.

Account opening procedures vary depending on the type of customer. Below are the key customer types and the associated requirements for opening an account:

1. Individual Customers:

- ✓ **Documents Required:** Valid photo ID (e.g., National ID, Passport), Proof of address (e.g., utility bill), Passport-sized photograph.

- ✓ **Process:** The individual fills out the account opening form, provides the required documents, and signs an agreement with the bank. KYC (Know Your Customer) checks are performed to verify identity and prevent fraud.

2. Joint Accounts:

- ✓ **Documents Required:** Valid photo ID and proof of address for all account holders, photographs of all account holders.
- ✓ **Process:** Similar to individual accounts, but the account opening form must specify the operating instructions (e.g., "either or survivor", "jointly", etc.). All account holders must sign the agreement.

3. Corporate Accounts:

- ✓ **Documents Required:** Certificate of incorporation, memorandum and articles of association, board resolution, Tax Identification Number (TIN), valid identification of authorized signatories.
- ✓ **Process:** The company's authorized signatory fills out the account opening form, provides the required documents, and signs the agreement. KYC checks on the company's directors and signatories are conducted.

4. Partnership Accounts:

- ✓ **Documents Required:** Partnership deed, TIN, valid photo ID and address proof of all partners.
- ✓ **Process:** The partnership agreement is reviewed, and the account is opened with the signatures of the authorized partners. KYC checks are conducted on all partners.

5. Minor Accounts:

- ✓ **Documents Required:** Birth certificate of the minor, valid photo ID and address proof of the guardian.
- ✓ **Process:** A guardian opens the account on behalf of the minor, and the guardian manages the account until the minor reaches adulthood.

6. Non-Resident Accounts:

- ✓ **Documents Required:** Valid passport, proof of overseas address, proof of income, and a completed KYC form.
- ✓ **Process:** Non-resident customers must provide documents proving their overseas residence and sources of income. The account is opened in accordance with international banking regulations.

In all cases, banks must ensure compliance with the relevant regulatory requirements, such as KYC and Anti-Money Laundering (AML) laws.

Dealing with Dormant Accounts:

1. **Definition:** A dormant account is one that has not had any activity (deposits or withdrawals) for a prolonged period, typically 12 months or more, as per banking regulations.
2. **Identify Dormant Accounts:** Banks should regularly monitor accounts for inactivity. If no transactions are made for the specified period, the account is flagged as dormant.
3. **Notify the Customer:** Banks should send a reminder notice to the account holder about the inactivity and inform them of the potential change in account status. This gives the customer an opportunity to reactivate the account.
4. **Reactivation Process:** If the account holder wishes to reactivate the account, they must provide identity verification and may need to fill out a reactivation form. In some cases, a fresh KYC process may be required.
5. **Closure of Dormant Accounts:** If the account holder does not respond or reactivate the account within a specified time, the bank may close the dormant account after giving proper notice. If the account has a balance, the remaining funds should be returned to the customer or transferred to a government-approved fund.

Module D: Business Related Laws

1. What is meant by Bankruptcy? When a suit can be filed in the Bankruptcy Court?

Bankruptcy:

Bankruptcy refers to a legal status in which an individual or business is unable to repay outstanding debts to creditors. It is a legal process initiated by the debtor or creditor to either eliminate or reorganize the debt. A person or entity declared bankrupt has their assets liquidated or restructured to pay off creditors, under court supervision.

When can a suit be filed in the Bankruptcy Court:

A suit can be filed in the Bankruptcy Court under the following circumstances:

1. **Insolvency Declaration:** When an individual or business is unable to pay its debts, a creditor or the debtor themselves can file a petition for bankruptcy.
2. **Failure to Meet Obligations:** If the debtor fails to meet their financial obligations and the creditor believes that the debtor has no way of repaying the debt, the creditor may file a suit in the bankruptcy court.
3. **Legal Action for Debt Recovery:** If a debtor's assets are insufficient to cover their liabilities, creditors may approach the bankruptcy court to initiate proceedings for the liquidation of assets.
4. **Voluntary Petition by Debtor:** A debtor can voluntarily file for bankruptcy to reorganize or discharge their debts through the court.

The court will then review the situation, assess the debts, and determine the appropriate action (e.g. liquidation or debt restructuring).

2. What are the rights and privileges that a Bankrupt is dropped off? Discuss the procedure of discharge of the Bankrupt.

Rights and Privileges Dropped for a Bankrupt:

When a person is declared bankrupt, they lose certain rights and privileges, which include:

1. **Right to manage finances:** A bankrupt individual loses the ability to manage their own financial affairs without court oversight. A trustee is appointed to handle their finances.

2. **Right to incur debt:** They cannot incur new debts without approval from the court or trustee.
3. **Right to hold certain positions:** A bankrupt person may be disqualified from holding certain positions, especially positions of trust in organizations, such as a director in a company.
4. **Property ownership:** The bankrupt individual's assets may be seized and sold to pay off creditors.
5. **Legal capacity:** In some cases, the bankrupt person may not be able to initiate legal actions without permission from the court.

Procedure of Discharge of the Bankrupt:

The discharge process involves the following steps:

1. **Application for discharge:** After a certain period of time (typically one year or more), the bankrupt individual can apply for discharge through the court.
2. **Review by the Trustee:** The trustee examines the individual's financial conduct, including efforts made to pay off creditors and whether they have cooperated with the bankruptcy process.
3. **Hearing:** A hearing may be scheduled where the court reviews the application for discharge and any objections raised by creditors.
4. **Discharge order:** If the court is satisfied with the individual's actions, it may grant a discharge order, releasing the individual from the debts.
5. **Exceptions:** Some debts, such as fines or alimony, may not be discharged in the bankruptcy process, depending on jurisdiction.

Once discharged, the individual is no longer liable for most of the debts, and they can begin rebuilding their financial life.

3. Discuss how Bankruptcy Act helps managing the loan portfolio of a bank.

How the Bankruptcy Act Helps in Managing the Loan Portfolio of a Bank:

The **Bankruptcy Act** plays a significant role in managing the loan portfolio of a bank by providing a legal framework for addressing defaulting borrowers. Here's how it helps:

1. **Loan Recovery Process:** The Bankruptcy Act provides a structured process for recovering loans from borrowers who have defaulted. When a borrower declares

bankruptcy, the bank can file a claim for the outstanding debt, and the court will oversee the repayment process through asset liquidation or reorganization.

2. **Legal Protection for Banks:** It protects banks from prolonged legal disputes with defaulting borrowers. By following the procedures outlined in the Bankruptcy Act, banks can recover debts in an orderly manner, ensuring that the assets of the bankrupt individual or entity are distributed fairly to creditors.
3. **Reducing Non-Performing Assets (NPAs):** By enabling the restructuring or liquidation of assets of bankrupt borrowers, the Bankruptcy Act helps reduce the bank's non-performing assets. This aids in improving the quality of the bank's loan portfolio.
4. **Clear Guidelines for Loan Write-Offs:** The act provides clear guidelines on how loans can be written off or restructured if the borrower is declared bankrupt, allowing banks to manage their bad debts effectively.
5. **Preventing Risk of Further Losses:** It helps banks manage the risk of further financial losses from borrowers who are unable to repay their loans. By initiating bankruptcy proceedings, the bank can stop the accumulation of additional interest or penalties while proceeding with the resolution of the loan.

The Bankruptcy Act ensures that banks have a clear legal process to manage defaulting loans and recover as much as possible, reducing the negative impact on their loan portfolios.

4. What are the limitations of NBFIs for collecting deposits? What provisions are adopted in Finance Company Act, 2023 to attract the foreign investment in financial institutions operating in Bangladesh?

Limitations of NBFIs for Collecting Deposits:

1. NBFIs cannot accept demand deposits or savings accounts, unlike banks.
2. They do not offer deposit insurance, reducing depositor confidence.
3. They face stricter regulatory controls on the types and amounts of deposits they can take.

Provisions in Finance Company Act, 2023 to Attract Foreign Investment:

1. The Act allows higher foreign equity participation in NBFIs.
2. It simplifies regulatory approvals for foreign investments.
3. Offers tax incentives to attract foreign investors.
4. Strengthens corporate governance to ensure investor protection.
5. Establishes transparent financial infrastructure for better investment conditions.

Module G: Overview

1. State the right and duties of banker and customer.

Rights and Duties of Banker and Customer:

1. Rights of a Banker:

- **Right to Charge Interest:** The banker has the right to charge interest on loans or advances made to the customer.
- **Right to Retain Goods:** A banker has a right of lien over goods or securities entrusted to them by the customer for a loan or any other purpose.
- **Right to Set Off:** The banker can set off the balance of the customer's account against any outstanding debts owed to the bank.
- **Right to Close Account:** A bank can close an account if the customer violates the terms of the agreement.
- **Right to Disclose Information:** In certain cases, such as under a court order or to prevent fraudulent activity, the bank may disclose customer account details.

2. Duties of a Banker:

- **Duty to Honour Cheques:** A banker must honour valid cheques drawn by the customer, provided sufficient funds are available in the account.
- **Duty to Maintain Secrecy:** The banker must keep the customer's account information confidential unless required by law or with the customer's consent.
- **Duty to Provide Statements:** The banker is obligated to provide the customer with statements and updates about their account transactions.
- **Duty of Care and Skill:** The bank must perform its services with due diligence, ensuring proper handling of funds and security.
- **Duty to Maintain Account:** The bank must ensure proper maintenance of the customer's account as per the agreement.

3. Rights of a Customer:

- **Right to Access Funds:** A customer has the right to withdraw or access funds from their account as per the agreed terms.
- **Right to Fair Treatment:** Customers are entitled to receive transparent, fair, and non-discriminatory service from the bank.
- **Right to Receive Information:** The customer has the right to request and receive information about their account and any related terms.
- **Right to Compensation:** If the bank fails to meet its obligations (e.g. dishonouring a cheque wrongly), the customer has the right to seek compensation.

4. Duties of a Customer:

- **Duty to Maintain Sufficient Funds:** The customer must ensure there are enough funds in their account to cover withdrawals or cheque payments.
- **Duty to Inform the Bank:** The customer should promptly notify the bank of any changes, such as a change of address or loss of cheque book.

These are the key rights and duties that govern the relationship between a banker and a customer.

2. What are service charges? Recently service charges have been increased? Do you justify this increase? If so, why?

Service Charges and Their Increase:

Service Charges:

Service charges are fees imposed by banks or financial institutions for providing various services such as maintaining accounts, processing transactions, issuing cheques, or providing other financial services. These charges can be a fixed amount or a percentage of the transaction or service provided.

Recent Increase in Service Charges:

Yes, recently, many banks have increased their service charges due to factors like rising operational costs, inflation, and regulatory changes. The increase is often justified to cover the expenses associated with technology upgrades, security improvements, and enhanced customer service.

Justification for the Increase:

- **Operational Costs:** Banks face rising costs related to technology, security, and regulatory compliance.
- **Inflation:** The overall increase in the cost of goods and services influences banks to adjust their charges accordingly.
- **Service Improvement:** Increased charges can be used to fund improvements in customer services, digital banking, and infrastructure.
- **Sustainability:** Banks need to remain financially viable and competitive, which sometimes requires adjusting service fees.

While it can be challenging for customers, the increase in service charges is often seen as a necessity for maintaining efficient and secure banking services.

3. What are the ancillary services rendered by banks to their customers?

Ancillary Services Rendered by Banks to Customers

1. **Safe Deposit Lockers:** Banks provide secure storage for valuable items like documents, jewelry, and other personal belongings.
2. **Standing Instructions:** Banks offer services like auto-payment of bills, loan EMIs, or transfers between accounts through standing instructions.
3. **Issuance of Bank Drafts and Demand Drafts:** Banks issue drafts to facilitate secure, nationwide payments.
4. **Foreign Exchange Services:** Banks provide foreign currency exchange, traveler's cheques, and international remittance services.
5. **Mobile and Internet Banking:** Banks offer digital platforms to access accounts, make transactions, pay bills, and perform other banking activities online.

4. Describe general and special relationships between banker and customer.

General and Special Relationships between Banker and Customer:

1. General Relationships:

- **Debtor-Creditor Relationship:** When a customer deposits money in a bank account, the bank becomes the debtor, and the customer is the creditor. The bank must repay the money upon demand.
- **Trustee-Trustor Relationship:** When a cheque is given for collection, the bank holds the cheque as a trustee until the proceeds are collected and paid to the customer.
- **Bailor and Bailee Relationship:** When goods are held as collateral, the bank is the bailee, and the customer is the bailor.
- **Lessor-Lessee Relationship:** When a customer rents a safe deposit locker, the bank is the lessor, and the customer is the lessee.
- **Mortgagor-Mortgagee Relationship:** When a customer takes a loan secured by property, the customer is the mortgagor, and the bank is the mortgagee.

2. Special Relationships:

- **Statutory Obligation to Honour Cheques:** Banks are legally obligated to honor cheques provided the funds are available and the cheque is properly presented.
- **Duty to Maintain Secrecy:** Banks must maintain confidentiality of customer accounts, with certain exceptions such as legal requirements or the customer's consent.
- **Right to Charge Incidental Fees:** Banks can charge fees for services like account maintenance, processing, and penalties for defaults.
- **Banker's Lien:** The bank can retain goods or securities held as collateral until the customer settles any outstanding dues.

5. Who is walk-in customer? Write the responsibilities of a banker in dealings with a walk-in customer.

Walk-in Customer:

A **walk-in customer** is an individual who visits the bank without any prior appointment or appointment-related arrangement. They may come to carry out banking transactions like deposits, withdrawals, or inquiries.

Responsibilities of a Banker in Dealing with a Walk-in Customer:

1. **Providing Assistance:** The banker should offer assistance and address the customer's needs promptly and professionally.
2. **Ensuring Proper Identification:** The banker must verify the customer's identity, ensuring that all KYC (Know Your Customer) requirements are met.
3. **Offering Relevant Information:** The banker should provide the necessary details regarding available services, account options, and any charges that apply.
4. **Maintaining Confidentiality:** It is the responsibility of the banker to maintain confidentiality regarding the customer's personal and financial details.
5. **Handling Transactions Efficiently:** The banker should ensure that all transactions, such as deposits, withdrawals, and account updates, are processed correctly and efficiently.

6. A person opened an account on 12-12-2008 in your bank with initial deposit Tk. 25.00 lac. First-time customer came to your branch and placed a cheque of Tk. 10.00 lac on 15-12-2023. Explain the status of the account and also explain the situation with what you had taken before that.

Status of the Account and Explanation:

1. **Account Status:** The account has been open since 12-12-2008 with an initial deposit of Tk. 25.00 lac. As of 15-12-2023, the customer has placed a cheque of Tk. 10.00 lac.
2. **Bank's Responsibility:** The bank needs to ensure that there are sufficient funds in the account to honor the cheque. If the account holds the required amount (or more) and the cheque is presented within the account's validity period, the bank will process the payment.
3. **Verification Process:** Before processing the cheque, the bank will verify the following:
 - ✓ Ensure that the account is active and that the initial deposit is still available or there have been no account changes.
 - ✓ Check if the customer has any outstanding dues or holds.
 - ✓ Validate the cheque for proper signatures and authorization.
4. **Customer Relationship:** The bank must ensure that the customer's identity and account information are up to date to avoid fraud or errors.
5. **Preceding Procedures:** Prior to accepting the cheque, the bank may have conducted customer due diligence and ensured that all relevant documents and procedures were followed during the account opening in 2008, such as identity verification and KYC (Know Your Customer) compliance.

7. Who is minor according to Majority Act, 1875? Explain the operational procedures of minor

Minor According to the Majority Act, 1875:

As per the **Majority Act, 1875**, a minor is a person who has not attained the age of 18 years. A minor is considered legally incapable of entering into a contract or making binding agreements, except in cases allowed by law.

Operational Procedures of Minor Account:

1. **Opening of Account:** A minor can open a bank account, but it must be done with the consent of a guardian (usually a parent or legal guardian).
2. **Type of Account:** A minor's account is typically opened as a **joint account** with a guardian. The guardian operates the account on behalf of the minor until the minor reaches the age of majority.
3. **Deposits and Withdrawals:** The guardian has the authority to manage deposits and withdrawals. The minor cannot independently withdraw funds unless the account becomes operational after reaching the age of 18.
4. **Cheques and Instruments:** A minor is not legally permitted to issue cheques, bills of exchange, or other negotiable instruments. Any cheque drawn by a minor will be invalid.
5. **Account Conversion:** When the minor reaches 18 years, the account is converted into a regular account, and the minor can operate it independently.

8. What procedure and precautions should the banker take in operating a joint account? Can the balance of joint account of husband and wife be paid to the wife after the death of her husband?

Procedure and Precautions for Operating a Joint Account:

1. **Account Opening:** When opening a joint account, the banker must clearly define the operating instructions (whether it's "Either or Survivor" or "Jointly"). Both account holders must sign the account opening form.
2. **Signature Verification:** The banker must ensure that the signatures of all account holders are properly verified and kept on record for future reference.
3. **Clear Instructions:** The banker must ensure the customers are aware of how the account will be operated, including withdrawal rights, and the terms under which the account may be accessed (e.g., either party can operate it or both need to sign).

4. **Transaction Limits:** The bank should monitor the transactions to ensure that they comply with the agreed terms for operating the account.
5. **Account Closure:** If any of the account holders wish to close the account, it must be done with the consent of all joint account holders or according to the terms specified at the time of account opening.

Payment of Balance after Husband's Death:

Yes, the balance of a joint account of husband and wife can be paid to the wife after the husband's death, but it depends on the operating instructions. If the account is an "Either or Survivor" account, the surviving account holder (in this case, the wife) can claim the balance without any issues. However, if the account is jointly operated by both parties, the bank may require certain legal documents such as the death certificate of the deceased and any necessary legal formalities to release the balance to the wife.

9. Discuss in brief the main functions of a commercial bank.

Main Functions of a Commercial Bank:

1. **Accepting Deposits:** Commercial banks provide a safe place for individuals and businesses to deposit their money in various forms like savings accounts, current accounts, and fixed deposits.
2. **Providing Loans and Advances:** Banks lend money to individuals, businesses, and governments for personal, business, and developmental purposes, generating income from interest rates.
3. **Facilitating Payments and Transfers:** Commercial banks offer services like cheques, electronic transfers, and online banking to enable smooth payments and transfers of money.
4. **Issuing Credit Instruments:** They issue credit facilities such as credit cards, overdrafts, and letters of credit to meet the financial needs of customers.
5. **Investment Services:** Commercial banks invest in government securities, bonds, and other financial products, ensuring profitability while managing risk.

These functions are crucial for the economic growth of a country by promoting savings, investments, and facilitating smooth financial transactions.

Module H: Deposit Accounts & Operation

1. What procedure does a banker follow in opening a new account? What precautions does he take in opening the account of Politically Exposed Persons (PEPs) and why?

Procedure for Opening a New Account:

1. **Application Form:** The customer fills out an account opening form with personal details.
2. **Identity Verification:** The banker verifies the customer's identity using valid documents (e.g. passport, national ID, or driver's license).
3. **Address Verification:** Proof of address is also required (e.g. utility bill or rental agreement).
4. **Signature:** The customer provides their signature, which is recorded for future reference.
5. **Initial Deposit:** An initial deposit is made as per the account type.

Precautions for Politically Exposed Persons (PEPs):

1. **Enhanced Due Diligence (EDD):** A banker conducts thorough background checks to assess the source of funds and financial behavior of PEPs.
2. **Continuous Monitoring:** Ongoing monitoring of transactions is done to detect suspicious activities.
3. **Approval Process:** Transactions and account activities may require senior management approval.
4. **Source of Wealth:** Clear documentation and validation of the source of wealth and funds.
5. **Risk Assessment:** Regular review of the risk level associated with PEPs is necessary to comply with Anti-Money Laundering (AML) regulations.

Reason: The precautions are taken to mitigate the risk of money laundering, corruption, and financing terrorism, as PEPs might have access to significant political influence or public funds.

2. Why is introduction necessary for opening an account? What are the liabilities and responsibilities of the introducer?

Introduction for Opening an Account:

Introduction is necessary for opening an account because it helps the bank verify the identity and credibility of a new customer. The process allows the bank to ensure that the individual opening the account is trustworthy and not involved in any illegal activities. An introducer, who is an existing customer of the bank, vouches for the new customer's identity and honesty.

Liabilities and Responsibilities of the Introducer:

1. **Verification of Identity:** The introducer is responsible for verifying the identity of the person opening the account.
2. **Honesty and Integrity:** The introducer should ensure that the new customer is trustworthy and has a good reputation.
3. **Financial Liability:** If the new account holder engages in any fraudulent activities, the introducer may be held liable to some extent, depending on the bank's policy.
4. **Personal Responsibility:** The introducer should be aware that they are personally recommending the new customer, and any dishonesty or fraud from the new account holder may affect the introducer's own credibility with the bank.
5. **Risk Management:** The introducer plays a role in minimizing risk for the bank by vouching for the character of the new customer.

In case the new customer defaults on obligations, the introducer might also face some consequences depending on the circumstances and the bank's regulations.

3. Documents required for opening accounts for different customer types.

Documents Required for Opening Accounts for Different Customer Types:

1. Individual Accounts:

- ✓ Proof of Identity (e.g. National ID, Passport, Driving License)
- ✓ Proof of Address (e.g. Utility Bill, Rent Agreement, Bank Statement)
- ✓ Passport-sized Photographs

2. Joint Accounts:

- ✓ Proof of Identity and Address for all account holders
- ✓ Passport-sized Photographs of all account holders
- ✓ Signature of all account holders on the account opening form

3. Corporate Accounts:

- ✓ Certificate of Incorporation
- ✓ Memorandum and Articles of Association
- ✓ Board Resolution for opening the account
- ✓ Proof of Identity and Address of directors and authorized signatories
- ✓ Tax Identification Number (TIN)

4. **Minor Accounts:**

- ✓ Proof of Identity of the minor (e.g., Birth Certificate)
- ✓ Proof of Identity and Address of the guardian
- ✓ Passport-sized Photographs of the minor and guardian

5. **Partnership Accounts:**

- ✓ Partnership Deed
- ✓ Proof of Identity and Address of partners
- ✓ Passport-sized Photographs of all partners
- ✓ Board Resolution or Letter of Authorization for the partnership to open the account

6. **Non-Resident Accounts (NRE/NRO):**

- ✓ Passport with Visa/Work Permit
- ✓ Proof of Address in the home country and abroad
- ✓ Photographs as per bank's requirements
- ✓ Source of Income documents

These documents ensure that the bank complies with regulatory requirements and verifies the authenticity of customers' identities.

4. What do you mean by Enhanced Due Diligence (EDD) measures in AML system? How do you define Ethical Risk in Banking?

Enhanced Due Diligence (EDD) in AML System:

Enhanced Due Diligence (EDD) refers to the process of performing more thorough checks and investigations on high-risk customers or transactions that may pose a higher risk of money laundering or financing of terrorism. It involves gathering additional information to verify the customer's identity, source of funds, and the nature of their business relationships. EDD is typically applied to Politically Exposed Persons (PEPs), high-net-worth individuals, or customers with complex or suspicious financial activity.

Ethical Risk in Banking:

Ethical risk in banking refers to the potential for a financial institution to face damage to its reputation, legal consequences, or loss of customer trust due to unethical practices or decisions. This includes issues like fraud, conflicts of interest, misleading financial advice, discrimination, or failure to act in the best interest of clients. Managing ethical risk involves adhering to regulatory standards, transparency, and maintaining high standards of integrity in all banking activities.

5. Mr. Azmal Hossain is maintaining a current account with your branch with a balance of Tk. 3,00,000. His wife came and informed that her husband is down with paralysis and cannot sign. She wants to draw Tk. 1,00,000 for his treatment urgently. How would you deal with the situation as a branch manager?

As a branch manager, I would handle the situation as follows:

1. **Verify the Information:** I would first verify the information with the customer (if possible) or through his family members to confirm the claim about his paralysis and inability to sign.
2. **Medical Certificate:** I would request a medical certificate or any formal documentation from a doctor to confirm the patient's condition (paralysis) to validate the urgency.
3. **Power of Attorney (POA):** If the wife is not already authorized to operate the account, I would require a valid power of attorney (POA) from Mr. Azmal Hossain granting her the authority to operate the account on his behalf.
4. **Withdrawal Approval:** If the wife has POA or a suitable arrangement (like a nominee), I would ensure the withdrawal request complies with the bank's procedures for such cases.
5. **Record the Transaction:** I would ensure all relevant documents are in order, and the transaction is properly recorded, with due diligence, to safeguard the bank and Mr. Azmal's interests.

By following these steps, I would ensure the withdrawal is carried out while adhering to the bank's policies and safeguarding the customer's interests.

6. What formalities and precautions would you take before opening the account of a (i) Joint Stock Company and (ii) Co-operative Society?

Formalities and Precautions for Opening Accounts:

(i) Joint Stock Company:

1. **Incorporation Documents:** Obtain a copy of the certificate of incorporation, memorandum, and articles of association of the company.
2. **Board Resolution:** Ensure a resolution from the board of directors authorizing the opening of the account and specifying the individuals who are authorized to operate it.
3. **Identification Documents:** Collect personal identification and proof of address of the directors and authorized signatories.

4. **TIN (Taxpayer Identification Number):** Ensure that the company has a valid TIN.
5. **KYC Compliance:** Follow Know Your Customer (KYC) procedures for both the company and its authorized signatories.

(ii) Co-operative Society:

1. **Registration Documents:** Obtain the society's registration certificate and bylaws.
2. **Board Resolution:** Ensure a resolution from the management committee authorizing the opening of the account and specifying authorized signatories.
3. **Members' List:** Collect a list of members and their identification details.
4. **KYC Compliance:** Follow KYC procedures for the society and its key office bearers.
5. **TIN and Tax Compliance:** Verify the society's valid TIN and its tax compliance status.

Precautions:

- Thoroughly check all legal documents and resolutions.
- Ensure all signatories are valid and properly authorized.
- Comply with anti-money laundering regulations and other legal requirements.

7. How to handle an incapacitated customer and their account situation.

Handling an Incapacitated Customer and Their Account Situation:

1. **Obtain Medical Certification:** Ensure the customer is indeed incapacitated by requesting a valid medical certificate from a licensed doctor confirming the customer's inability to manage their account due to health reasons.
2. **Power of Attorney (PoA):** If the customer has appointed someone with legal authority, a valid Power of Attorney document should be presented to allow the representative to operate the account on behalf of the incapacitated person.
3. **Temporary Account Operations:** In the absence of a PoA, seek legal advice and discuss the possibility of temporarily appointing a guardian or representative with proper documentation.
4. **Withdrawal Requests:** If an urgent transaction (e.g., for medical purposes) is required, allow the authorized representative to withdraw funds following proper documentation, while ensuring that it is in the best interest of the customer.
5. **Precautions:** Maintain strict records of all transactions, ensure only authorized persons handle the account, and inform the relevant authorities of the situation to avoid any misuse of the account.

Module I: Negotiable Instruments Act 1881

1. What are negotiable instruments and their characteristics? Would you consider the following a negotiable instrument? - Bill of Lading - Railway Receipt
- Life Insurance - Promissory Note - A Debenture

Negotiable Instruments and Their Characteristics

A **negotiable instrument** is a written document that promises or orders the payment of a specified amount of money either on demand or at a specified time. The key characteristics of a negotiable instrument include:

1. **Transferability:** It can be transferred from one person to another.
2. **Unconditional:** It must be an unconditional promise or order to pay.
3. **Payable to Order or Bearer:** The instrument can either be made payable to a specific person (order) or to anyone who holds it (bearer).
4. **Certainty of Amount:** The amount of money to be paid is certain and clear.
5. **Free Transfer:** It can be transferred freely without any restriction.

Considering the Instruments:

1. **Bill of Lading:** No. It is a document of title and serves as a receipt for goods, not a negotiable instrument.
2. **Railway Receipt:** No. It is a receipt for the carriage of goods, not a negotiable instrument.
3. **Life Insurance:** No. It is a contract that pays a sum upon the death of the policyholder but does not fulfill the characteristics of negotiability.
4. **Promissory Note:** Yes. It is a negotiable instrument as it is a written promise to pay a specific amount to a person or their order.
5. **A Debenture:** Yes. It is a negotiable instrument as it represents a debt and can be transferred or sold.

2. What do you understand by payment in due course? Bring out the main difference between "Holder for Value" and "Holder in due Course".

Payment in Due Course:

Payment in Due Course refers to the payment made in accordance with the terms of a negotiable instrument. It must be made:

1. In good faith.
2. Without knowledge of any defect or dispute in the instrument.
3. At the right time and place as per the instrument's terms.
4. To the rightful holder.

Difference between "Holder for Value" and "Holder in Due Course":

1. **Holder for Value:** A person who acquires the instrument for value, meaning they have given something of value in exchange for it (e.g. money or goods).
2. **Holder in Due Course:** A holder who has acquired the instrument in good faith, for value, and without any knowledge of defects or prior claims. A "Holder in Due Course" enjoys more protection than a "Holder for Value."

The key difference lies in the legal protection against defects: a **Holder in Due Course** is protected from prior defects or claims on the instrument, while a **Holder for Value** may not be.

3. Explain the term "Collecting banker". What are his duties and responsibilities in this

Collecting Banker:

Collecting Banker refers to a bank that is responsible for collecting payments (such as cheques, drafts, or bills) on behalf of its customer. The collecting bank receives the instrument for collection, credits the amount to the customer's account, and transfers the instrument to the paying bank for settlement.

Duties and Responsibilities of a Collecting Banker:

1. **Receive for Collection:** The bank receives cheques, drafts, or bills from its customers for collection.
2. **Present the Instrument:** The collecting banker presents the instrument to the paying bank or party for payment.
3. **Credit the Customer's Account:** Once the payment is received, the banker credits the customer's account with the amount.
4. **Due Diligence:** The banker must exercise due diligence to ensure the validity and authenticity of the instruments being collected.
5. **Transmission to the Paying Bank:** The collecting banker ensures that the instruments are properly forwarded to the paying bank for settlement.

Module J: General Banking

1. What are service charges? Recently service charges have been increased? Do you justify this increase? If so, why?

Service Charges:

Service charges are fees that banks or financial institutions levy for providing various services such as maintaining accounts, processing transactions, ATM usage, etc.

Justification for Increase: Service charges may be increased due to factors like:

1. **Operational Costs:** Rising costs in maintaining infrastructure, technology, and staff.
2. **Inflation:** As the cost of living increases, so do the costs associated with providing services.
3. **Regulatory Compliance:** Banks may need to invest in systems to meet regulatory requirements, which can lead to an increase in charges.
4. **Service Improvement:** Enhancements in customer service or technological advancements could justify the higher charges.

This increase can be justified if it aligns with the rising costs of banking operations and aims to improve service quality.

2. What are the ancillary services rendered by banks to their customers?

Ancillary services provided by banks to their customers include:

1. **Safe Deposit Lockers:** Banks provide lockers for customers to store valuable items like documents, jewelry, etc.
2. **Funds Transfer Services:** Banks facilitate domestic and international money transfers, such as through NEFT, RTGS, and SWIFT.
3. **Payment Services:** Banks offer bill payment, utility payments, and automated clearing house services.
4. **Debit/Credit Card Issuance:** Banks issue cards to enable easy transactions, both online and offline.
5. **Investment Advisory Services:** Many banks offer advice on investments, including mutual funds, stocks, and bonds.

3. What is Departmental Control Function Check list (DCFCL) in banking? Write the implications of DCFCL for a bank.

Departmental Control Function Checklist (DCFCL):

Departmental Control Function Checklist (DCFCL) in banking refers to a systematic tool or set of guidelines used to ensure that internal controls and procedures within different departments of a bank are effectively followed. It includes a detailed list of tasks, compliance checks, and responsibilities designed to manage risks, prevent errors, and enhance the efficiency of operations.

Implications of DCFCL for a Bank:

1. **Risk Management:** Helps in identifying and mitigating risks by ensuring that proper controls are in place for each department.
2. **Compliance:** Ensures that banking operations comply with regulations and legal requirements.
3. **Operational Efficiency:** Streamlines operations by making departments more accountable and ensuring tasks are completed correctly and on time.
4. **Fraud Prevention:** Acts as a safeguard against fraud by enforcing stringent controls on financial transactions and activities.
5. **Audit and Monitoring:** Facilitates regular audits and monitoring, which helps maintain transparency and accountability within the bank's departments.

4. How morning call reduces the risk of the bank? Explain elaborately.

Morning Call and Its Role in Reducing Bank Risk

A **morning call** refers to a daily communication or check-in between a bank and its clients or between the bank's departments to assess financial situations, confirm transactions, and ensure smooth operations for the day. This practice helps in reducing risk in several ways:

1. **Liquidity Management:** The morning call helps the bank to assess its liquidity position early in the day. By confirming the available balances and understanding the cash flow needs, the bank ensures it can meet its obligations and prevent liquidity shortages.
2. **Identifying Errors:** Early checks allow for the identification of errors in transactions or balances. By catching discrepancies quickly, the bank reduces operational risks associated with incorrect or fraudulent transactions.

3. **Risk Prevention:** The morning call ensures that there are no unreported risks, such as overdrafts or high-risk transactions from the previous day. This proactive approach allows for immediate corrective actions to mitigate potential financial or operational risks.
4. **Monitoring Market Conditions:** For banks dealing with foreign exchange, trading, or securities, a morning call helps in evaluating any market changes overnight. This gives the bank the opportunity to adjust its positions or strategies, thus managing market risk.
5. **Communication with Clients:** For banks dealing with large corporate clients or investment clients, a morning call helps ensure that both parties are aligned on their financial positions and transactions. It ensures that no miscommunication leads to unexpected financial risks.

The morning call serves as an early risk-checking mechanism, allowing banks to take swift action to maintain financial stability and prevent losses.

5. What is digital banking and its features?

Digital Banking:

Digital Banking refers to the use of digital platforms, such as websites, mobile applications, and other electronic means, to conduct banking services. It allows customers to perform a wide range of banking activities without the need for physical branches.

Features of Digital Banking:

1. **24/7 Accessibility:** Customers can access their accounts and perform transactions anytime and anywhere, providing convenience beyond traditional banking hours.
2. **Online Transactions:** Digital banking allows for instant fund transfers, bill payments, and other financial activities via the internet.
3. **Account Management:** Customers can view account statements, check balances, and manage investments or loans online.
4. **Security Features:** Digital banking platforms employ encryption, two-factor authentication, and other security measures to protect users' data and transactions.
5. **Cost Efficiency:** With fewer physical branches and automated services, digital banking reduces operational costs, which can lead to lower fees for customers.

Digital banking enhances customer convenience and operational efficiency while reducing costs for financial institutions.

6. Who is minor according to Majority Act, 1875? Explain the operational procedures of minor

Minor According to Majority Act, 1875:

According to the **Majority Act, 1875**, a **minor** is defined as a person who has not attained the age of **18 years**. A minor is not legally competent to enter into a contract, except in certain cases like contracts for necessities (essential items required for living).

Operational Procedures of Minor Account:

1. **Opening the Account:** A minor can open a bank account, but the account must be operated by a guardian or a representative, such as a parent or legal guardian.
2. **Type of Account:** The account opened for a minor is typically a savings account, and the minor is not allowed to open a joint or current account by themselves.
3. **Guardian's Role:** The guardian, on behalf of the minor, is responsible for signing documents, making deposits, and managing the account until the minor reaches the age of majority.
4. **Withdrawal Limitations:** The minor cannot withdraw funds independently unless they reach the age of 18. In some cases, the guardian may be allowed to withdraw for the minor's welfare, but the withdrawal is typically limited.
5. **Conversion to Adult Account:** Once the minor reaches the age of 18, the account can be converted into an adult account, and the guardian's role will be eliminated.

These procedures ensure the minor's financial transactions are properly managed until they attain legal capacity.

7. What procedure and precautions should the banker take in operating a joint account? Can the balance of joint account of husband and wife be paid to the wife after the death of her husband?

Procedure and Precautions in Operating a Joint Account:

1. **Account Opening:** The banker must ensure that all account holders sign the account opening form and agree to the terms and conditions of the joint account.
2. **Mode of Operation:** The banker must clearly specify the mode of operation (either 'Jointly' or 'Severally'). This will define how the account can be operated—whether all parties need to sign for transactions or any one of them can do so.

3. **Identification and Verification:** The bank should verify the identities and addresses of all account holders and ensure that necessary documents like valid IDs and proof of address are provided.
4. **Precautions for Future Disputes:** The banker should advise account holders on the possibility of disputes or misunderstandings and suggest keeping clear records of transactions.
5. **Changes in Account Status:** If any holder wishes to change the mode of operation or remove their name from the account, proper documentation and consent from all parties must be obtained.

Payment of Balance to Wife After Husband's Death:

In the case of a joint account held by husband and wife, the balance can typically be paid to the surviving spouse, depending on the terms agreed upon during the account opening. If the account is operated 'Jointly' (with both signatures required), the banker should ensure that the proper legal documentation is provided (e.g., death certificate of the deceased spouse) before making payments. However, if the account is 'Severally' (either can operate alone), the balance is usually accessible by the surviving spouse after the death of the other, but legal formalities should still be followed.

* Mr. Abdullah a retired govt. official, had been maintaining a savings account with ABC Bank, Gulshan Branch. He authorized his second wife Mrs. Aziza Abdullah, who had no children, as a nominee of this account, and they lived together with their two children along with his 1st wife Mrs. Hanufa Abdullah. Unfortunately, Mr. Abdullah at his age of 66 died. After one month, his two children came to the branch and reported about their father's death in black and white. The next day, Mrs. Hanufa Abdullah came to the bank branch with her lawyer and submitted an application to Branch Manager (BM) for transferring his husband's proceeds to her personal account maintained jointly with the deceased at the same branch. Now what will the branch manager do? Explain the next course of actions.

As the branch manager, the following steps should be taken:

1. **Verify the Death:** The first step is to verify Mr. Abdullah's death by obtaining the death certificate. This can be provided by Mrs. Hanufa Abdullah or any of the children.
2. **Review the Nominee Status:** The bank must verify that Mrs. Aziza Abdullah is indeed listed as the nominee for the savings account, as authorized by Mr. Abdullah.
3. **Check Legal Standing:** As per the law, the nominee is the rightful person to receive the funds from the account. However, since Mrs. Hanufa Abdullah is requesting the transfer of the balance to a joint account, the bank must check if she has any legal claim to the funds.

4. **Legal Heirship:** The branch manager needs to confirm whether Mrs. Hanufa Abdullah or the children hold any legal right to the funds, as the nominee does not necessarily have ownership over the funds in all cases. If necessary, a succession certificate or a court order may be requested to resolve the legal status of the claims.
5. **Consultation and Decision:** After ensuring all legalities are clear, the bank will act according to the instructions and evidence provided. If the nominee is legally entitled to the funds, the manager will transfer the amount to Mrs. Aziza Abdullah. However, if the children or Mrs. Hanufa Abdullah have a valid claim, appropriate legal procedures will be followed.

The branch manager must act in accordance with the bank's policies and legal requirements to ensure the funds are transferred to the rightful person.

8. What is standing instruction? State the procedure of stop payment instruction.

Standing Instruction (SI):

Standing Instruction (SI) is an instruction given by an account holder to the bank to carry out a specific transaction on a regular basis, such as paying bills, transferring funds, or other similar recurring activities. It is a pre-arranged order to perform an action automatically without requiring further approval each time.

Procedure for Stop Payment Instruction:

1. **Request Submission:** The account holder must submit a written request to the bank to stop the payment of a specific cheque, draft, or payment.
2. **Details of the Instruction:** The request should include clear details, such as the cheque number, amount, date of issue, and the name of the payee.
3. **Confirmation:** The bank verifies the request and confirms that the cheque has not been paid or cleared. If the cheque is already processed, the bank cannot stop the payment.
4. **Fee and Acknowledgement:** The bank may charge a fee for processing the stop payment request. An acknowledgment or confirmation is issued to the account holder once the instruction is successfully processed.
5. **Monitoring:** The bank will monitor and ensure that the stop payment order is implemented, preventing any further payment of the specified cheque or instrument.

9. When can a banker legally return a valid cheque without payment?

A banker can legally return a valid cheque without payment under the following circumstances:

1. **Insufficient Funds:** If there are insufficient funds in the account to cover the cheque amount.
2. **Cheque Overdue:** If the cheque is presented after its validity period (typically 3 months in most countries).
3. **Signature Mismatch:** If the signature on the cheque does not match the signature on file with the bank.
4. **Post-Dated or Stale Cheque:** If the cheque is post-dated or has become stale (after the period specified, usually 6 months).
5. **Frozen or Closed Account:** If the account on which the cheque is drawn has been closed or is frozen due to legal reasons.

In such cases, the banker is required to return the cheque with the appropriate reason mentioned, such as "Insufficient Funds" or "Signature Mismatch."

10. What are the measures to be taken if a fake note is detected in a bank branch?

If a fake note is detected in a bank branch, the following measures should be taken:

1. **Seize the Fake Note:** The fake note should be immediately seized and kept aside to avoid further circulation.
2. **Inform Authorities:** The branch manager or the concerned staff should inform law enforcement authorities, such as the police, about the counterfeit note.
3. **Do Not Return to the Customer:** The customer who presented the fake note should not be given back the counterfeit note. It should be handed over to the authorities for further investigation.
4. **Record the Incident:** A detailed report of the incident should be made, including information such as the time, the amount, and any identifying details of the customer.
5. **Follow Bank's Internal Protocols:** The bank should follow its internal procedures for dealing with counterfeit notes, including submitting the note to the central bank or designated authorities for proper action.

Short Notes:

1. KYC (Know Your Customer)

KYC is a process by which banks and financial institutions verify the identity of their customers. It is a legal requirement to prevent money laundering, terrorist financing, and other financial crimes. The process involves verifying customer identity, address, and source of funds. It helps assess customer risk and detect suspicious activities. KYC is essential for customer onboarding and ongoing monitoring.

2. eKYC (Electronic Know Your Customer)

eKYC is the digital version of the KYC process, where customer identity is verified electronically. It is a faster and more secure method using biometric verification or digital ID systems like NID verification. eKYC reduces paperwork and speeds up account opening. It ensures compliance with AML/CFT regulations. It is widely used in digital banking and mobile financial services.

3. Customer Due Diligence (CDD)

CDD is the process of assessing and verifying customer information to prevent illegal activities like money laundering. It includes identifying the customer, understanding the nature of their business, and monitoring transactions. There are three types of CDD: Simplified, Standard, and Enhanced Due Diligence. CDD is mandatory for high-risk customers and large transactions. It helps banks manage risks and comply with regulations.

4. PEPs/IPs (Politically Exposed Persons/Influential Persons)

PEPs/IPs are individuals who hold or have held prominent public positions, such as government officials or political leaders. They are considered high-risk customers due to their potential involvement in corruption or money laundering. Banks must conduct Enhanced Due Diligence (EDD) when dealing with PEPs. Monitoring their transactions helps prevent financial crimes. Continuous risk assessment is necessary for PEP accounts.

5. Beneficial Owner

A Beneficial Owner is the individual who ultimately owns or controls an account or business, even if it is registered under a different name. Identifying the beneficial owner is crucial to prevent money laundering and financial crimes. Banks must verify the identity of beneficial

owners under AML regulations. It helps detect shell companies and illegal activities. The threshold for beneficial ownership is typically 25% or more ownership.

6. Procedures of Account Opening

Account opening procedures involve verifying customer identity and documents like NID, passport, and utility bills. The bank collects KYC information to assess customer risk. The customer signs an account opening form and provides nominee details. The bank verifies the customer's background and approves the account. The customer is then provided with account credentials and checkbooks.

7. Issuance of Check Book

The issuance of a checkbook follows after successful account opening. The customer submits a written request for a checkbook. The bank verifies the customer's identity and account status. A checkbook is issued with a unique serial number for security. The customer acknowledges receipt, and the bank keeps a record. It helps maintain control over fraudulent check issuance.

8. Promissory Note

A promissory note is a written promise by one party to pay a specific amount to another party at a future date. It includes the amount, interest rate, and repayment terms. It is a negotiable instrument governed by the Negotiable Instruments Act, 1881. It is commonly used in loans and trade finance. It serves as legal evidence of debt.

9. Bill of Exchange

A bill of exchange is a written order by the drawer to the drawee to pay a specific amount to the payee at a specified time. It is used in international trade for payment settlement. It involves three parties: drawer, drawee, and payee. It is a negotiable instrument under the Negotiable Instruments Act, 1881. It ensures secure and timely payment in commercial transactions.

10. Drawer & Drawee

The Drawer is the person who issues the check or bill of exchange and orders payment. The Drawee is the bank or financial institution that is directed to make the payment. In a check, the drawer is the account holder, and the drawee is the bank. The drawee makes the payment to the payee upon presentation of the check. This relationship ensures proper payment processing.

11. Payee & Holder

The **Payee** is the person to whom the payment is made. The **Holder** is the person who possesses the negotiable instrument and is entitled to receive the payment. A payee can be the original party or any other person to whom the check is endorsed. The holder can be a third party who legally owns the instrument. Both play vital roles in check transactions.

12. Holder in Due Course

A holder in due course is a person who acquires a negotiable instrument in good faith and for value, without any knowledge of defects. The holder in due course has the right to receive payment from the drawee. They are protected against prior disputes or fraud. This concept ensures the smooth transfer of negotiable instruments. It is defined under the Negotiable Instruments Act, 1881.

13. Payment in Due Course

Payment in due course refers to the lawful and proper payment made by the drawee to the rightful holder of the negotiable instrument. It must be made in good faith and without negligence. Payment in due course discharges the liability of the drawer. It protects the drawee from future claims. It is governed by the Negotiable Instruments Act, 1881.

14. Cheque Payable to Order

A cheque payable to order is one that is payable to a specific person or entity named on the cheque. It can be transferred to another party through endorsement. The payee's signature is required to transfer ownership. It ensures secure and controlled payment. It is different from a bearer cheque, which is payable to the holder.

15. Crossing of Cheques & Its Effects

Crossing of a cheque is a method of instructing the bank to make payment only through a bank account, not in cash. It is done by drawing two parallel lines on the top left corner of the cheque. It prevents fraud and unauthorized payment. The payment is made directly to the payee's bank account. It enhances security in check transactions.

16. STR (Suspicious Transaction Report)

STR is a report submitted by financial institutions to the Bangladesh Financial Intelligence Unit (BFIU) when a suspicious transaction is detected. It helps identify potential money laundering, terrorist financing, or illegal activities. The report is confidential and must be submitted immediately. STR is part of the AML/CFT compliance framework. It assists law enforcement in investigating financial crimes.

17. CRR (Cash Reserve Ratio)

CRR is the percentage of a bank's total deposits that must be kept as reserves with the central bank (Bangladesh Bank). It is a monetary policy tool used to control liquidity in the market. A higher CRR reduces the bank's lending capacity, while a lower CRR boosts lending. It helps control inflation and maintain financial stability. CRR is regulated by the central bank.

18. Endorsement in Banking

Endorsement in banking refers to signing the back of a negotiable instrument, such as a cheque or bill of exchange, to transfer ownership or authorize payment. It can be of different types, such as blank, special, restrictive, and conditional endorsements. It ensures the smooth transfer of ownership and provides legal security. In Bangladesh, endorsement practices are governed by the **Negotiable Instruments Act, 1881**.